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Introduction and Context

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The realm of the conflict of laws is a dismal swamp, filled with quaking quagmires, and inhabited by learned but eccentric professors who theorize about mysterious matters in a strange and incomprehensible jargon. The ordinary court, or lawyer, is quite lost when engulfed and entangled in it.

Prosser¹

I. INTRODUCTION

In 1953, the renowned legal academic William Prosser penned these words to describe the conflict of laws in interstate torts brought before the US courts. This book is about the conflict of laws in international commercial arbitration. Prosser's words are, however, apt to describe arbitral conflicts **1.01**

¹ William Prosser, 'Interstate Publication' (1952–53) 51 Michigan Law Review 959, 971.

of laws. Arbitration has the capacity to generate conflicts questions 'at least as complex as those in litigation',² if not more so.³

- 1.02** This book is also about arbitral discretion. Arbitral discretion is a key feature of international commercial arbitration, and is evidenced in the prevailing methodologies for resolving arbitral conflicts of laws. The prevalence of discretions over rules in the conduct of proceedings is either a blessing or a plague, depending on the perspective adopted.⁴ As the substantive governing law governs the parties' rights and obligations, arbitral conflicts discretions have the capacity to significantly affect the outcomes of cases.
- 1.03** This book's argument is twofold: that the discretion reposed in arbitrators resolving conflict of laws questions concerning the substantive law governing the merits in international commercial arbitration is too wide; and that a bright-line test (a more specific rule) based on the concept of the closest connection is a preferable mechanism by which these questions can be resolved. In essence, this book critiques discretion in arbitral procedure in the specific arbitral conflicts context. Though views in favour of rules over discretion in arbitral procedure are minority views,⁵ and are probably 'as welcome as ants at a picnic',⁶ this book's argument is that the arbitral process can be improved by implementing a closest connection test for arbitral conflicts of laws. This book specifically recommends a (modified) Art 4 Rome Convention rule for conflicts of laws in international commercial arbitration. This chapter provides an introduction to these issues, and identifies the contexts within which they sit.
- 1.04** From the outset, it is necessary to clarify some matters of terminology. Though the term *conflict of laws* is sometimes used in a very broad sense to

² Gary Born, *International Commercial Arbitration* (2nd edn, Kluwer 2014) 2617 (hereafter Born, ICA).

³ Pierre Mayer, 'Reflections on the International Arbitrator's Duty to Apply the Law' in Julian Lew and Loukas Mistelis (eds), *Arbitration Insights—Twenty Years of the Annual Lecture of the School of International Arbitration* (Kluwer 2007) 289, 304 [15-68] (hereafter Mayer, 'Reflections').

⁴ William W Park, 'The Procedural Soft Law of International Arbitration: Non-Governmental Instruments' in Loukas Mistelis and Julian Lew (eds), *Pervasive Problems in International Arbitration* (Kluwer 2006) 141, 143 [7-7] (hereafter Park, 'The Procedural Soft Law').

⁵ William W Park, 'Arbitration's Protean Nature: The Value of Rules and the Risks of Discretion' in Julian Lew and Loukas Mistelis (eds), *Arbitration Insights—Twenty Years of the Annual Lecture of the School of International Arbitration* (Kluwer 2007) 331, 338-39 [17-21]–[17-22] (hereafter Park, 'Arbitration's Protean Nature'); *ibid*, 148 [7-25].

⁶ Park, 'Arbitration's Protean Nature' (n 5) 338 [17-21]. See also Park, 'The Procedural Soft Law' (n 4) 154 [7-4].

describe the law ‘which deals with cases having a foreign element’,⁷ this book uses this term to refer specifically to the arbitral tribunal determining the substantive law governing the merits of the dispute. This is different from *choice of law*, where the parties themselves make a relevant choice of the governing substantive law. *Private international law* and *applicable law* are used here as collective terms, covering both concepts. In this book, they are not intended to refer to other applicable law questions arising in international commercial arbitration. The term *State* is used to describe a sovereign State, or a smaller territorial unit, which may have its law applied through a conflicts analysis.⁸

This book’s argument is framed around a broad comparative analysis of 134 arbitral laws and sets of arbitration rules drawn from around the world. Provisions of arbitral laws and rules addressing the applicable law are referred to in this book as *private international law provisions*. The arbitral laws analysed by this book are those of Switzerland, France (both the *French Arbitration Law 2011*, and the now-superseded *French New Code of Civil Procedure 1981*), and the United Kingdom, given that these ‘strong seats’⁹ are recognized as major centres for international commercial arbitration.¹⁰ Attention is also given to the *Model Law 1985* and the *Model Law 2006*. These instruments have been significant in promoting the harmonization of arbitral laws around the world,¹¹ particularly in the Asia-Pacific region, where there is the highest concentration of the (as at 1 July 2016) 102 *Model Law* jurisdictions.¹² Though each individual enactment of *Model Law* legislation is strictly ‘purely domestic law’,¹³ this book

⁷ Lord Lawrence Collins (ed), *Dicey, Morris and Collins on the Conflict of Laws* (15th edn, Sweet & Maxwell 2012) 3 [1-001].

⁸ See, eg, *ICC Case No 5314/1988* (1995) XX YBCA 35, 39 [12].

⁹ Loukas Mistelis, ‘Arbitral Seats—Choices and Competition’ in Stefan Kröll and others (eds), *International Arbitration and International Commercial Law: Synergy, Convergence and Evolution—Liber Amicorum Eric Bergsten* (Kluwer 2011) 363, 379 (hereafter Mistelis, ‘Arbitral Seats’).

¹⁰ See, eg, International Chamber of Commerce, ‘2015 ICC Dispute Resolution Statistics’ [2016] (1) ICC Bull 9, 16 (hereafter ICC, ‘2015 Statistics’).

¹¹ Julian Lew, ‘Achieving the Dream: Autonomous Arbitration?’ in Julian Lew and Loukas Mistelis (eds), *Arbitration Insights—Twenty Years of the Annual Lecture of the School of International Arbitration* (Kluwer 2007) 455, 471 [20-53] (hereafter Lew, ‘Achieving the Dream’).

¹² UNCITRAL, ‘Status—UNCITRAL Model Law on International Commercial Arbitration (1985), with Amendments as Adopted in 2006’ (United Nations Commission on International Trade Law 2016) <http://www.uncitral.org/uncitral/en/uncitral_texts/arbitration/1985Model_arbitration_status.html>.

¹³ Ingeborg Schwenzer, ‘Who Needs a Uniform Contract Law, and Why?’ (2013) 58 *Villanova Law Review* 723, 728.

assesses both instruments in their international character, as reflecting international standards.

1.06 This book analyses the rules of the following institutions:

- the Australian Centre for International Commercial Arbitration (referred to as the '*ACICA Rules*' and the '*ACICA Expedited Rules*');
- the British Columbia International Commercial Arbitration Centre (the '*BCICAC Rules*');
- the Camera Arbitrale Milano (the '*CAM Rules*');
- the Chartered Institute of Arbitrators (the '*CIArb Rules*' and the '*CIArb Cost Controlled Rules*');
- the Chicago International Dispute Resolution Association (the '*CIDRA Rules*');
- the China International Economic and Trade Arbitration Commission (the '*CIETAC Rules*');
- the CPR Institute for Dispute Resolution (the '*CPR Administered Rules*');
- the Cairo Regional Centre for International Commercial Arbitration (the '*CRCICA Rules*');
- the Arbitration Court attached to the Economic Chamber of the Czech Republic and Agricultural Chamber of the Czech Republic (the '*Czech Rules*');
- the Danish Institute of Arbitration (the '*DIA Rules*' and the '*DIA Simplified Rules*');
- the Deutsche Institution für Schiedsgerichtsbarkeit (the '*DIS Rules*');
- the Dubai International Arbitration Centre (the '*DIAC Rules*');
- the Franco-Arab Chamber of Commerce (the '*Franco-Arab Rules*');
- the Hong Kong International Arbitration Centre (the '*HKIAC Rules*');
- the Hungarian Chamber of Commerce and Industry (the '*HCC Rules*');
- the International Commercial Arbitration Court at the Chamber of Commerce and Industry of the Russian Federation (the '*ICAC Rules*');
- the International Chamber of Commerce (the '*ICC Rules*');
- the International Centre for Dispute Resolution (the '*ICDR Rules*', previously the '*AAA International Arbitration Rules*');
- JAMS (the '*JAMS Rules*', the '*JAMS Comprehensive Rules*', and the '*JAMS Construction Rules*');
- the Japan Commercial Arbitration Association (the '*JCAA Rules*');
- the Kuala Lumpur Regional Centre for Arbitration (the '*KLRCARules*' and the '*KLRCARules Fast Track Rules*');
- the London Court of International Arbitration (the '*LCIA Rules*'; also the now-superseded '*LCIA India Rules*');
- the Netherlands Arbitration Institute (the '*NAI Rules*');

- the Resolution Institute (incorporating the body previously known as the Institute of Arbitrators and Mediators Australia; referred to as the ‘IAMA Rules’);
- the Stockholm Chamber of Commerce (the ‘SCC Rules’);
- the Singapore International Arbitration Centre (the ‘SIAC Rules’);
- the Swiss Chambers’ Arbitration Institution (the ‘Swiss Rules’); and
- the Vienna International Arbitral Centre (the ‘VIAC Rules’).

Arbitration’s history ‘remains to be written by legal historians’,¹⁴ and the conflict of laws also has a significant historical development across the civil law and common law traditions. Savigny’s work¹⁵ is one of several foundation civil law conflicts texts. With respect to more contemporary materials, *Dicey, Morris and Collins*¹⁶ is the common law’s ‘gold standard’ work.¹⁷ Though civil law States and common law States have historically approached the conflict of laws in different ways, and that in the arbitration context this comparative point can be of practical utility in choosing arbitrators, this book does not trace the entire historical development of either international commercial arbitration or the conflict of laws. Rather, given the importance of both the New York Convention and the *Model Law 1985* in establishing international commercial arbitration’s modern legal framework,¹⁸ this book’s analysis is principally situated in the post-*Model Law* world. This book considers the rules promulgated by the listed institutions after 11 December 1985, the day on which the *Model Law 1985* was adopted. 1.07

The *UNCITRAL Rules 2010*, the *UNCITRAL Rules 1976*, the *Paris Rules 2013*, and the *CPR Ad Hoc Rules 2007* are also analysed as exemplar ad hoc rules. Though both sets of *UNCITRAL Rules* can be used in investment arbitration,¹⁹ as can the rules of some major arbitral institutions,²⁰ this book’s focus is on international commercial arbitration. Art 42(1) ICSID Convention applies a distinct conflicts methodology to international 1.08

¹⁴ Born, *ICA* (n 2) 6–7.

¹⁵ Friedrich Carl von Savigny, *Private International Law—A Treatise on the Conflict of Laws, and the Limits of Their Operation in Respect of Place and Time* (William Guthrie tr, T&T Clark Law Publishers 1869).

¹⁶ Collins (n 7).

¹⁷ William W Park, ‘Rules and Standards in Private International Law’ (2007) 73 *Arbitration* 441, 441.

¹⁸ Collins (n 7) 830–31 [16-003].

¹⁹ Justice Clyde Croft, Christopher Kee, and Jeff Waincymer, *A Guide to the UNCITRAL Arbitration Rules* (Cambridge University Press 2013) 4–5.

²⁰ Karl-Heinz Böckstiegel, ‘Commercial and Investment Arbitration: How Different Are They Today?—The Lalive Lecture 2012’ (2012) 28 *Arbitration International* 577, 581.

investment arbitration in any event,²¹ and by applying ‘the law of the Contracting State party to the dispute’, the closest connection test is already being applied in substance in investment arbitration.²²

- 1.09** As the focus of this book is on arbitral conflicts, it is not primarily concerned with choice of law, though choice of law is considered to the extent that it defines the scope of arbitral conflicts. As arbitrations decided on the basis of equitable norms (ie. conducted as *amiable compositeur* or as *ex aequo et bono*) generally require express agreement, such arbitrations are analogous to those involving a choice of law,²³ so are also not the primary focus of this work. This book is directed at the identification of the substantive law governing contractual claims (the *lex contractus*). Thus, it does not address the law applicable to tortious claims, unless contract-related, nor the highly contested topic of mandatory laws²⁴—which, by their very nature, lay claim to application irrespective of the *lex contractus*.²⁵ Since the bases of legal rules are policies,²⁶ and since conflicts rules should be grounded in relevant policies,²⁷ including those of the relevant field of substantive law,²⁸ this focus on the *lex contractus* is justified—badly designed rules ‘may well be worse than no rules at all’.²⁹
- 1.10** Finally, this book is concerned with conflict of laws rules for contracts in general, rather than specific rules relevant to particular types of commercial contracts. Thus, specific rules that might be particular to carriage of goods contracts and insurance contracts, which are grounded in their own unique policy considerations³⁰ and which are already subject to bright-line tests under some legal regimes,³¹ are not considered in this work.

²¹ Rupert Reece, Alexis Massot, and Marie-Hélène Bartoli, ‘Searching for the Applicable Law in WTO Litigation, Investment and Commercial Arbitration’ in Jorge Huerta-Goldman, Antoine Romanetti, and Franz Stirnimann (eds), *WTO Litigation, Investment Arbitration, and Commercial Arbitration* (Kluwer 2013) 199, 208.

²² Marc Blessing, ‘Regulations in Arbitration Rules on Choice of Law’ in Albert Jan van den Berg (ed), *Planning Efficient Arbitration Proceedings/The Law Applicable in International Arbitration* (ICCA Congress Series Volume 7, Vienna, 1994) (Kluwer 1996) 391, 420 (hereafter Blessing, ‘Regulations’).

²³ Emmanuel Gaillard and John Savage (eds), *Fouchard, Gaillard, Goldman on International Commercial Arbitration* (Kluwer 1999) 835 [1500].

²⁴ Jeffrey Waincymer, *Procedure and Evidence in International Arbitration* (Kluwer 2012) 1013 (hereafter Waincymer, *Procedure and Evidence*).

²⁵ Pierre Mayer, ‘Mandatory Rules of Law in International Arbitration’ (1986) 2 *Arbitration International* 274, 275. See, eg, *ICC Case No 7407/1994* (1996) 7(1) *ICC Bull* 93, 94.

²⁶ Willis Reese, ‘General Course on Private International Law’ (1976) 150 *Recueil des Cours de l’Académie de Droit International* 1, 47, 61.

²⁷ *ibid.* 53. ²⁸ *ibid.* 58. ²⁹ *ibid.* 48.

³⁰ *Case C-305/13 Haeger & Schmidt GmbH v Mutuelles du Mans Assurances IARD (MAA IARD)* (ECJ, 23 October 2014), para 22.

³¹ Arts 5, 7 Rome I Regulation; Art 4(4) Rome Convention.

II. BACKGROUND

Before proceeding any further, it is prudent to review some fundamentals. In this section, the background to this book's analysis is established. This section takes as its starting point the preferred status of international commercial arbitration, and from this point introduces arbitral conflicts of laws—this book's key subject-matter. 1.11

A. INTERNATIONAL COMMERCIAL ARBITRATION AS A PREFERRED DISPUTE RESOLUTION MECHANISM

The likelihood of international disputes increases as numbers of international transactions grow.³² Weaknesses of the international legal system mean that litigation will be an adequate dispute resolution mechanism in 'exceptional' cases only.³³ Relevant weaknesses include difficulty in the international enforcement of State court judgments³⁴—though at the time of writing, the Hague Convention on Choice of Court Agreements had very recently (on 1 October 2015) entered into force.³⁵ They also include overlapping jurisdictions between State courts³⁶ which may lead to forum shopping and *lis alibi pendens* or *forum non conveniens* issues, and a risk of conflicting judgments.³⁷ 1.12

As a dispute resolution process, international commercial arbitration is therefore highly important.³⁸ This is reflected in its status as a preferred dispute resolution mechanism. It is true that every arbitration is unique and that it is therefore difficult to generalize about user satisfaction.³⁹ 1.13

³² Robert McClelland and Mary Keyes, 'International Civil Legal Co-operation' (2011) 7 Commonwealth Law Bulletin 661, 663.

³³ Fabian Sosa, 'Cross-Border Dispute Resolution from the Perspective of Mid-Sized Law Firms: The Example of International Commercial Arbitration' in Volkmar Gessner (ed), *Contractual Certainty in International Trade—Empirical Studies and Theoretical Debates on Institutional Support for Global Economic Exchanges* (Hart Publishing 2009) 107, 110.

³⁴ Gary Born, *International Arbitration and Forum Selection Agreements: Drafting and Enforcing* (4th edn, Kluwer 2013) 151–52.

³⁵ Hague Conference on Private International Law, 'Status Table—37: Convention of 30 June 2005 on Choice of Court Agreements' (HCCH 2 June 2016) <<https://www.hcch.net/en/instruments/conventions/status-table/?cid=98>>.

³⁶ Savigny (n 15) 89, 101.

³⁷ Nadja Erk, *Parallel Proceedings in International Arbitration: A Comparative European Perspective* (Kluwer 2014) 1.

³⁸ Leonardo Graffi, 'Securing Harmonized Effects of Arbitration Agreements Under the New York Convention' (2006) 28 Houston Journal of International Law 663, 670.

³⁹ Robert Kovacs, 'Efficiency in International Arbitration: An Economic Approach' (2012) 23 American Review of International Arbitration 155, 171.

However, according to Dutson, Moody, and Newing, the ‘positive correlation’ between increasing trade volumes and the number of international arbitrations ‘is no coincidence’.⁴⁰

- 1.14** Commentary supporting the preferred status of international commercial arbitration runs throughout the leading texts,⁴¹ as well as other scholarly writings.⁴² Similar observations are found in arbitral case law,⁴³ as well as in judicial decisions.⁴⁴ Criticisms of the arbitral process do exist, often centred around cost and delay.⁴⁵ Nevertheless, the popularity of arbitration has even led to the ‘gratitude’ of courts, given ‘the pressures of judicial workloads’.⁴⁶ In this respect, a ‘division of labor’ is seen between State courts and international commercial arbitration.⁴⁷
- 1.15** Since 2006, the largely anecdotal basis of this preference has been confirmed by a series of studies conducted by the School of International Arbitration at Queen Mary University of London. These studies—carried out in 2006,⁴⁸ 2008,⁴⁹ 2010,⁵⁰

⁴⁰ Stuart Dutson, Andy Moody, and Neil Newing, *International Arbitration—A Practical Guide* (Globe Law and Business 2012) 7.

⁴¹ See, eg, Waincymer, *Procedure and Evidence* (n 24) 3; Born, *ICA* (n 2) 93; Nigel Blackaby and others, *Redfern and Hunter on International Arbitration* (6th edn, Oxford University Press 2015) 1 [1.01] (hereafter Blackaby, *Redfern & Hunter 6th edn*).

⁴² See, eg, Emmanuel Gaillard, *Legal Theory of International Arbitration* (Martinus Nijhoff Publishers 2010) 33, 35, 89; Jan Paulsson, ‘Arbitration in Three Dimensions’ (2011) 60 *International and Comparative Law Quarterly* 291, 312; W Laurence Craig, ‘Some Trends and Developments in the Laws and Practice of International Commercial Arbitration’ (2015–16) 50 *Texas International Law Journal* 699, 700; William W Park, ‘Illusion and Reality in International Forum Selection’ (1995) 30 *Texas International Law Journal* 135, 167.

⁴³ *ICC Case No 7375/1996* (1996) 11(12) *Mealey’s A-1, A-56* [38].

⁴⁴ *China State Construction Engineering Corp Guangdong Branch v Madiford Ltd* [1992] 1 HKC 320, 326.

⁴⁵ School of International Arbitration, ‘2015 International Arbitration Survey: Improvements and Innovations in International Arbitration’ (Research at the School of International Arbitration 2015) 7 <<http://www.arbitration.qmul.ac.uk/docs/164761.pdf>> (hereafter SIA, ‘2015 Survey’).

⁴⁶ Lord Robin Cooke, ‘Party Autonomy’ (1999) 30 *Victoria University of Wellington Law Review* 257, 259.

⁴⁷ Pierre Lalive, ‘Arbitration—The Civilized Solution’ (1998) 16 *ASA Bulletin* 483, 484.

⁴⁸ School of International Arbitration, ‘International Arbitration: Corporate Attitudes and Practices 2006’ (Research at the School of International Arbitration 2006) 5 <<http://www.arbitration.qmul.ac.uk/docs/123295.pdf>>.

⁴⁹ School of International Arbitration, ‘International Arbitration: Corporate Attitudes and Practices 2008’ (Research at the School of International Arbitration 2008) 5 <<http://www.arbitration.qmul.ac.uk/docs/123294.pdf>> (hereafter SIA, ‘2008 Survey’).

⁵⁰ School of International Arbitration, ‘2010 International Arbitration Survey: Choices in International Arbitration’ (Research at the School of International Arbitration 2010) 5–6 <<http://www.arbitration.qmul.ac.uk/docs/123290.pdf>> (hereafter SIA, ‘2010 Survey’).

2013,⁵¹ and 2015⁵²—all support arbitration's status as a preferred dispute resolution mechanism.⁵³ These studies are methodologically important for present purposes as all involve the survey of corporate counsel—the users of international arbitration—as well as (in the 2015 study) broader arbitration stakeholders. These SIA studies are consistent with the findings of the Roschier Disputes Indexes,⁵⁴ the Singapore Academy of Law's Study on Governing Law and Jurisdictional Choices,⁵⁵ as well as the Global Sales Law Survey, which concluded that 'disputes in international trade are, today, primarily a matter for arbitral tribunals'.⁵⁶

This empirically established preference for arbitration is important because promoting arbitration is seen as a means of facilitating international trade⁵⁷ and economic progress.⁵⁸ Disputes are 'inevitable' in international commerce⁵⁹—arbitration is a peaceful means by which they may be resolved.⁶⁰ In turn, 1.16

⁵¹ School of International Arbitration, 'Corporate Choices in International Arbitration: Industry Perspectives' (Research at the School of International Arbitration 2013) 6–8 <<http://www.arbitration.qmul.ac.uk/docs/123282.pdf>> (hereafter SIA, '2013 Survey').

⁵² SIA, '2015 Survey' (n 45) 5.

⁵³ It is noted for completeness that the SIA's 2012 study does not specifically address this point.

⁵⁴ Roschier, 'Roschier Disputes Index 2016—A Biennial Survey on Facts and Trends in International Dispute Resolution from a Nordic Perspective' (Roschier 2016) 10–11 <http://www.roschier.com/sites/default/files/Roschier%20Disputes%20Index%202016_0.pdf>; Roschier, 'Roschier Disputes Index 2014—A Biennial Survey on Facts and Trends in International Dispute Resolution from a Nordic Perspective' (Roschier 2014) 7 <<http://www.roschier.com/sites/default/files/Roschier%20Disputes%20Index%202014.pdf>>; Roschier, 'Roschier Disputes Index 2012—Facts and Trends in International Dispute Resolution—A Nordic Perspective' (Roschier 2012) 4 <<http://www.roschier.com/sites/default/files/The%20Roschier%20Disputes%20Index%202012.pdf>>; Roschier, 'Roschier Disputes Index 2010—Facts and Trends in Dispute Resolution in Sweden and Finland' (Roschier 2010) 5 <<http://www.roschier.com/sites/default/files/The%20Roschier%20Disputes%20Index%202010.pdf>>.

⁵⁵ Singapore Academy of Law, 'Study on Governing Law and Jurisdictional Choices in Cross-Border Transactions' (Singapore Law Watch 11 January 2016) 2 <http://www.sal.org.sg/Documents/SAL_Singapore_Law_Survey.pdf>.

⁵⁶ Ingeborg Schwenzer and Christopher Kee, 'International Sales Law—The Actual Practice' (2011) 29 *Penn State International Law Review* 425, 437.

⁵⁷ William W Park, 'Arbitration in Autumn' (2011) 2 *Journal of International Dispute Settlement* 287, 314.

⁵⁸ Jan Paulsson, 'Universal Arbitration—What We Gain, What We Lose—The Chartered Institute of Arbitrators Alexander Lecture, London, November 29, 2012' (2013) 79 *Arbitration* 185, 188–89 (hereafter Paulsson, 'Universal Arbitration'); Lalive (n 47) 488.

⁵⁹ Deborah Holland, 'Drafting a Dispute Resolution Provision in International Commercial Contracts' (2000) 7 *Tulsa Journal of Comparative and International Law* 451, 451.

⁶⁰ See generally Paulsson, 'Universal Arbitration' (n 58) 188–89.

arbitration has become ‘a service industry, and a very profitable one at that’.⁶¹

- 1.17** Arbitration is popular among international merchants because it meets their needs,⁶² and its advantages are perceived to outweigh its disadvantages.⁶³ This preference for international arbitration is a salient feature sitting behind this book’s analysis. By critically analysing arbitral discretion in the conflict of laws, this book seeks to establish whether the arbitral conflicts process can be improved, with a view to better meeting user needs, and further entrenching international commercial arbitration’s preferred status.

B. PARTY AUTONOMY IN INTERNATIONAL COMMERCIAL ARBITRATION

- 1.18** Party autonomy is fundamental in international commercial arbitration,⁶⁴ and is a ‘major reason’ for its preferred status.⁶⁵ Through party autonomy, parties exercise control over the arbitral process.⁶⁶ Party autonomy is ‘the guiding principle’ for the determination of arbitral procedure.⁶⁷ The premises underpinning party autonomy are choice,⁶⁸ and respect for the parties’ will.⁶⁹ Parties have ‘far-reaching and substantial freedom’⁷⁰ to tailor a kind of ‘bespoke arbitration’,⁷¹ a recognition of the parties’ own judgment as to their procedural best interests.⁷²

⁶¹ Lord Michael Mustill, ‘Arbitration: History and Background’ (1989) 6(2) *Journal of International Arbitration* 43, 55 (hereafter Mustill, ‘History and Background’).

⁶² Lew, ‘Achieving the Dream’ (n 11) 457 [20-8].

⁶³ SIA, ‘2015 Survey’ (n 45) 10.

⁶⁴ Born, *ICA* (n 2) 84.

⁶⁵ Edward Ti Seng Wei, ‘Why Egregious Errors of Law May Yet Justify a Refusal of Enforcement Under the New York Convention’ [2009] *Singapore Journal of Legal Studies* 592, 592.

⁶⁶ Waincymer, *Procedure and Evidence* (n 24) 4.

⁶⁷ Blackaby, *Redfern & Hunter 6th edn* (n 41) 355 [6.07].

⁶⁸ Cindy Buys, ‘The Arbitrators’ Duty to Respect the Parties’ Choice of Law in Commercial Arbitration’ (2005) 79 *St John’s Law Review* 59, 59—in the US domestic commercial arbitration context, but equally applicable to the present context.

⁶⁹ Alexander Bělohlávek, ‘Law Applicable to the Merits of International Arbitration and Current Developments in European Private International Law: Conflict-of-Laws Rules and the Applicability of the Rome Convention, Rome I Regulation and Other EU Law Standards in International Arbitration’ in Alexander Bělohlávek and Naděžda Rozehnalová (eds), *Czech Yearbook of International Law, Vol I: Second Decade Ahead: Tracing the Global Crisis* (Juris Publishing 2010) 25, 29 [2.4] (hereafter Bělohlávek, ‘Law Applicable to the Merits’).

⁷⁰ Franz Schwarz, ‘Limits of Party Autonomy in International Commercial Arbitration’ in Christina Knahr and others (eds), *Investment and Commercial Arbitration—Similarities and Divergences* (Eleven International Publishing 2010) 73, 73.

⁷¹ Loukas Mistelis, ‘The UNIDROIT Principles Applied as “Most Appropriate Rules of Law” in a Swedish Arbitral Award’ (2003) 8 *Uniform Law Review* 631, 631 (hereafter Mistelis, ‘The UNIDROIT Principles’).

⁷² Schwarz (n 70) 75.

Party autonomy's importance is entrenched in international arbitration law. **1.19** The Arbitration Act 1996 (UK), s 1(b), for example, recognizes that 'the parties should be free to agree on how their disputes are resolved, subject only to such safeguards as are necessary in the public interest'.⁷³ Party autonomy is similarly the 'first principle'⁷⁴ underpinning the *Model Law 1985*, with its embodiment in Art 19(1) *Model Law 1985* being that instrument's 'most important provision'⁷⁵—part of the 'Magna Carta of Arbitral Procedure'.⁷⁶ Even at the time that instrument was drafted, party autonomy was long respected in arbitration.⁷⁷ It is thus not surprising that party autonomy also lies at the New York Convention's 'heart',⁷⁸ through several of the grounds for refusing the recognition and enforcement of arbitral awards.⁷⁹

C. THE MANIFESTATIONS OF PARTY AUTONOMY

Respect for party autonomy is the norm in modern international commercial arbitration. **1.20** It is therefore unsurprising that party autonomy manifests itself in various ways throughout the arbitral process.

Party autonomy can be seen in parties' initial choice to arbitrate,⁸¹ as in **1.21** all contexts relevant to this book arbitration is entirely consensual.⁸² Party autonomy is similarly expressed in parties' choices between institutional and ad hoc arbitration, as the means of settling their disputes.⁸³

⁷³ Arbitration Act 1996 (UK), s 1(b).

⁷⁴ Howard Holtzmann, 'The Conduct of Arbitral Proceedings' in Pieter Sanders (ed), *UNCITRAL's Project for a Model Law on International Commercial Arbitration (ICCA Congress Series Volume 2, Lausanne, 1984)* (Kluwer 1984) 125, 128.

⁷⁵ Johannes Trappe, 'The Arbitration Proceedings: Fundamental Principles and Rights of the Parties' (1998) 15(3) *Journal of International Arbitration* 93, 98.

⁷⁶ UNCITRAL, 'Seventh Secretariat Note—Analytical Commentary on Draft Text (A/CN.9/264, 25 March 1985)' in Howard Holtzmann and Joseph Neuhaus, *A Guide to the UNCITRAL Model Law on International Commercial Arbitration—Legislative History and Commentary* (TMC Asser Instituut 1989) 582, 582.

⁷⁷ Holtzmann (n 74) 128. ⁷⁸ Ti Seng Wei (n 65) 593.

⁷⁹ Art V(1)(a), (c), (d) New York Convention.

⁸⁰ Paul Michell, 'Party Autonomy and Implied Choice in International Commercial Arbitration' (2003) 14 *American Review of International Arbitration* 571, 571.

⁸¹ Julian Lew, Loukas Mistelis, and Stefan Kröll, *Comparative International Commercial Arbitration* (Kluwer 2003) 412 [17-4].

⁸² Born, *ICA* (n 2) 225. cf Gilles Cuniberti, 'Beyond Contract—The Case for Default Arbitration in International Commercial Disputes' (2008–09) 32 *Fordham International Law Journal* 417; Jotham Scerri Diacono, 'Mandatory Arbitration Revisited: The Curious Case for Constitutionality' (2013) 79 *Arbitration* 367.

⁸³ Benedetta Coppo, 'Comparing Institutional Arbitration Rules: Differences and Similarities in a Developing International Practice' (2010) 13(3) *International Arbitration Law Review* 100, 110. This can be contrasted to the Chinese position, where ad hoc arbitration is not permitted—Art 16(3) *Arbitration Law of the People's Republic of China 1995*.

1.22 Once these initial decisions are made, party autonomy permits the choice of a number of other things, and may specifically permit the parties to choose:

- the seat of arbitration;⁸⁴
- the language of the arbitration;⁸⁵
- the rules of procedure to be followed;⁸⁶
- the version-in-time of the institutional or ad hoc arbitration rules that will apply;⁸⁷
- the number of arbitrators;⁸⁸
- any characteristics or qualifications that the arbitrators must possess;⁸⁹ and
- even the identity of the arbitrators themselves.⁹⁰

D. PARTY AUTONOMY IN RELATION TO THE APPLICABLE LAW

1.23 Party autonomy is also ascribed a more ‘limited’ meaning,⁹¹ referring to the parties’ power to choose the substantive law governing the merits of their dispute.⁹² Choice of law is therefore a further manifestation of party autonomy,⁹³ with the word ‘autonomy’ in Greek literally translating as ‘to give oneself a law’.⁹⁴ This notion of party autonomy is a ‘cornerstone’ of applicable law issues concerning contractual obligations,⁹⁵

⁸⁴ See, eg, Art 176(3) *Swiss Private International Law Act 1987*; Art 18(1) *UNCITRAL Rules 2010*; Art 18(1) *ICC Rules 2012*.

⁸⁵ See, eg, Art 22(1) *Model Law 2006*; Art 19(1) *UNCITRAL Rules 2010*; Art 20 *ICC Rules 2012*.

⁸⁶ See, eg, Art 19(1) *Model Law 2006*; Arts 19, 22(2) *ICC Rules 2012*. Procedural issues which fall to be determined through the exercise of party autonomy could include (among other things) ‘the existence and scope of discovery or disclosure, the modes for presentation of fact and expert evidence, the length of the hearing, the timetable of the arbitration and other matters’—Born, *ICA* (n 2) 85.

⁸⁷ See, eg, Art 6(1) *ICC Rules 2012*; Art 1(2) *UNCITRAL Rules 2010*.

⁸⁸ See, eg, Art 10(1) *Model Law 2006*; Art 7 *UNCITRAL Rules 2010*; Art 12 *ICC Rules 2012*.

⁸⁹ Waincymer, *Procedure and Evidence* (n 24) 261–62. See, eg, Art 180(1)(a) *Swiss Private International Law Act 1987*.

⁹⁰ See, eg, Art 11 *Model Law 2006*; Arts 8–10 *UNCITRAL Rules 2010*.

⁹¹ Karl-Heinz Böckstiegel, ‘The Role of Party Autonomy in International Arbitration’ (1997) 52(3) *Dispute Resolution Journal* 24, 25.

⁹² Gaillard and Savage (n 23) 785 [1421].

⁹³ Naděžda Rozehnalová and Jiří Valdžans, ‘A Few Observations on Choice of Law’ in Alexander Bělohávek and Naděžda Rozehnalová (eds), *Czech Yearbook of International Law*, Vol I: *Second Decade Ahead: Tracing the Global Crisis* (Juris Publishing 2010) 3, 4 [1.01].

⁹⁴ Matthias Lehmann, ‘Liberating the Individual from Battles Between States: Justifying Party Autonomy in Conflict of Laws’ (2008) 41 *Vanderbilt Journal of Transnational Law* 381, 417.

⁹⁵ Recital [11] *Rome I Regulation*.

and is closely related to freedom of contract,⁹⁶ itself a ‘backbone of private law’.⁹⁷

Party autonomy with respect to the applicable substantive law has broad recognition around the world⁹⁸ and is a principle ‘of considerable antiquity’.⁹⁹ Reference is made to it in the work of Savigny, though that work prefers the terms ‘freewill’ and ‘voluntary subjection’ over ‘autonomy’.¹⁰⁰ Berger suggests that it forms part of the *lex mercatoria*,¹⁰¹ and it is reflected in Arts XIII.4.1(a) and XIV.2(a) *Trans-Lex Principles*, as well as in Art 2(1) *Hague Principles on Choice of Law in International Contracts*. Even Brazil, which tightly controls choice of law in domestic litigation,¹⁰² recognizes a ‘limited island of party autonomy’ under the *Brazilian Arbitration Law 1996*.¹⁰³ Party choice of law is recognized across the arbitral laws,¹⁰⁴ institutional rules,¹⁰⁵ and ad hoc arbitration rules¹⁰⁶ considered by this book. Its embodiment in Art 28(1) *Model Law 2006* has been described as a freedom that ‘must’ be granted by a State to be considered *Model-Law-conforming* 1.24

⁹⁶ Symeon Symeonides, *Codifying Choice of Law Around the World—An International Comparative Analysis* (Oxford University Press 2014) 111.

⁹⁷ Ingeborg Schwenzer, Pascal Hachem, and Christopher Kee, *Global Sales and Contract Law* (Oxford University Press 2012) 64 [4.47].

⁹⁸ Julian Lew, *Applicable Law in International Commercial Arbitration—A Study in Commercial Arbitration Awards* (Oceana Publications 1978) 75 [90]; Okezie Chukwumerije, ‘Applicable Substantive Law in International Commercial Arbitration’ (1994) 23 *Anglo-American Law Review* 265, 265; Report on the Convention on the Law Applicable to Contractual Obligations by Mario Giuliano, Professor, University of Milan and Paul Lagarde, Professor, University of Paris I [1980] OJ C282/1, 15 [1].

⁹⁹ Richard Plender and Michael Wilderspin, *The European Contracts Convention—The Rome Convention on the Choice of Law for Contracts* (2nd edn, Sweet & Maxwell 2001) 88 [5-02].

¹⁰⁰ Savigny (n 15) 89–91, 152.

¹⁰¹ Klaus Peter Berger, *International Economic Arbitration* (Kluwer 1993) 490 (hereafter Berger, *IEA*).

¹⁰² Art 9 *Brazilian Introductory Law to the Civil Code 1942*; María Mercedes Alborno, ‘Choice of Law in International Contracts in Latin American Legal Systems’ (2010) 6 *Journal of Private International Law* 23, 44.

¹⁰³ Dana Stringer, ‘Choice of Law and Choice of Forum in Brazilian International Commercial Contracts: Party Autonomy, International Jurisdiction, and the Emerging Third Way’ (2006) 44 *Columbia Journal of Transnational Law* 959, 990. See Art 2 *Brazilian Arbitration Law 1996*.

¹⁰⁴ Art 28(1) *Model Law 2006*; Art 28(1) *Model Law 1985*; Art 1511 *French Arbitration Law 2011*; Art 1496 *French New Code of Civil Procedure 1981*; Art 187(1) *Swiss Private International Law Act 1987*; Arbitration Act 1996 (UK), s 46(1)(a).

¹⁰⁵ For a small selection of examples, see Art 35(1) *CI Arb Rules 2015*; Art 49(2) *CIETAC Rules 2015*; Art 23(1) *DIS Rules 1998*; Art 14(1) *HCC Rules 2011*; Art 26(1) *ICAC Rules 2010*; Art 21(1) *ICC Rules 2012*; Art 31(1) *ICDR Rules 2014*; Art 60(1) *JCAA Rules 2014*; Art 22(3) *LCIA Rules 2014*; Art 22(1) *SCC Rules 2010*; Art 33(1) *Swiss Rules 2012*; Art 27(1) *VIAC Rules 2013*.

¹⁰⁶ Art 35(1) *UNCITRAL Rules 2010*; Art 33(1) *UNCITRAL Rules 1976*; Art 10(1) *CPR Ad Hoc Rules 2007*. No private international law provision is contained in the *Paris Rules 2013*.

or otherwise as having a modern arbitration regime.¹⁰⁷ Analogies have also been drawn with ‘the general principles of law recognized by civilized nations’ set out in Art 38(1)(c) Statute of the International Court of Justice.¹⁰⁸ The freedom is a matter ‘very highly valued in arbitration’.¹⁰⁹

- 1.25 Where parties make a choice of law, tribunals are generally bound to give it effect.¹¹⁰ A choice of law is a contractual provision,¹¹¹ just as much a part of their bargain as the contract’s subject-matter or the agreed price. Given that arbitrators must decide in accordance with the parties’ contract, deciding otherwise than in accordance with that law would alter their bargain.¹¹² Party autonomy is generally respected even if the chosen law is unconnected to the contract¹¹³—reflecting the position that the parties’ choice of law is part of a ‘complicated’ overall negotiation process.¹¹⁴
- 1.26 The legitimacy of respecting party choice of law is not seriously questioned. From a law and economics perspective, it is efficient¹¹⁵—enforcing a contractual choice of law can eliminate inconsistency, clarify the applicable law, promote jurisdictional competition in the ‘law market’, and ultimately lead to legal evolution.¹¹⁶ It also respects the economic assumption that parties are the best judges of their own self-interest.¹¹⁷ Taking a theoretical approach, party choice of law is justified by a focus on individuals (and their individual interests) as the subjects of private international

¹⁰⁷ Peter Binder, *International Commercial Arbitration and Conciliation in UNCITRAL Model Law Jurisdictions* (3rd edn, Sweet & Maxwell 2010) 340 [6-022] (emphasis in original).

¹⁰⁸ Eva Lein, ‘The New Rome I/Rome II/Brussels I Synergy’ (2008) 10 Yearbook of Private International Law 177, 179, n 12. See also Case C-384/10 *Voogsgeerd v Navimer SA* [2011] ECR I-13275, Opinion of AG Trstenjak, para 44 n 10.

¹⁰⁹ Simon Greenberg, ‘The Law Applicable to the Merits in International Arbitration’ (2004) 8 Vindobona Journal of International Commercial Law and Arbitration 315, 317 (hereafter Greenberg, ‘The Law Applicable to the Merits’).

¹¹⁰ ICC Case No 1512/1971 (1976) I YBCA 128, 130; ICC Case No 7645/1995 (2000) 11(2) ICC Bull 34, 34; ICC Case No 7754/1995 (2000) 11(2) ICC Bull 46, 46; Born, ICA (n 2) 2684.

¹¹¹ Savigny (n 15) 90.

¹¹² Lord Michael Mustill, ‘The New *Lex Mercatoria*: The First Twenty-Five Years’ in Maarten Bos and Ian Brownlie (eds), *Liber Amicorum for the Rt Hon Lord Wilberforce* (Oxford University Press 1987) 149, 168.

¹¹³ Jean-François Poudret and Sébastien Besson, *Comparative Law of International Arbitration* (Stephen Berti and Annette Ponti tr, 2nd edn, Sweet & Maxwell 2007) 607 [705].

¹¹⁴ Bělohávek, ‘Law Applicable to the Merits’ (n 69) 30 [2.5].

¹¹⁵ Giesela Rühl, ‘Party Autonomy in the Private International Law of Contracts—Transatlantic Convergence and Economic Efficiency’ in Eckart Gottschalk and others (eds), *Conflict of Laws in a Globalized World* (Cambridge University Press 2007) 153, 176.

¹¹⁶ Erin O’Hara O’Connor and Larry Ribstein, ‘Conflict of Laws and Choice of Law’ in Chris William Sanchirico (ed), *Procedural Law and Economics* (2nd edn, Edward Elgar Publishing 2012) 85, 97–102.

¹¹⁷ Judge Richard Posner, *Economic Analysis of Law* (9th edn, Kluwer 2014) 100.

law.¹¹⁸ It is also claimed to be consistent with the Rawlsian ‘veil of ignorance’,¹¹⁹ whereby the propriety of a particular distribution of entitlements is tested by assuming that one has no knowledge of their own particular position at the time that distribution comes about. This claim can be critiqued, though, on the basis that contracting parties at least know their attributes at the time of contracting—even if they do not then know the parameters of possible future disputes.

The need to respect party choice of law is seen in the language of private international law provisions. To take just a few examples, Art 28(1) *Model Law 2006*, Art 1511 *French Arbitration Law 2011*, Art 35(1) *UNCITRAL Rules 2010*, and Art 33(1) *UNCITRAL Rules 1976* all indicate that the parties’ choice ‘shall’ be applied, while Art 21(1) *ICC Rules 2012* specifies that their choice is ‘to be applied’.¹²⁰ Finally, on a practical level, party choice facilitates certainty for international merchants.¹²¹ It is therefore not surprising that the parties’ power to directly choose the law governing their contract without themselves needing to justify it on a conflict of laws basis ‘was always possible’.¹²² 1.27

E. THE CONFLICT OF LAWS IN INTERNATIONAL COMMERCIAL ARBITRATION

Data concerning the incidence of party choice of law in ICC arbitration is presented in Section III of this chapter. For present purposes, this data is illustrative as it demonstrates that parties do not always exercise their right to choose the governing substantive law. Party autonomy is an ‘option’, rather than being ‘compulsory’.¹²³ Where the parties have not exercised their party autonomy rights, conflicts of laws may arise. Subject to the analysis which follows, the conflict of laws can be roughly approximated as the inverse of party choice. Where conflicts arise, the task of identifying 1.28

¹¹⁸ See generally Lehmann (n 94).

¹¹⁹ *ibid*, 418. See generally John Rawls, *A Theory of Justice* (Clarendon Press 1972) 136–42; John Rawls, with Erin Kelly (ed), *Justice as Fairness—A Restatement* (Harvard University Press 2001) 85–89.

¹²⁰ But see Art 16 *Franco-Arab Rules 2010*—‘should apply’; Art 24(c) *JAMS Comprehensive Rules 2014*—‘shall be guided by’.

¹²¹ Luiz Gustavo Meira Moser, ‘Choice of Law in Practice—A Global Empirical Survey’ in Ingeborg Schwenzer (ed), *35 Years CISG and Beyond* (Eleven International Publishing 2016) 9, 14.

¹²² Mistelis, ‘The UNIDROIT Principles’ (n 71) 633.

¹²³ Nikolay Natov, ‘The Autonomy of Arbitrators in Determining the Law Applicable to the Merits of a Case’ in Alexander Bělohávek and Naděžda Rozehnalová (eds), *Czech (& Central European) Yearbook of Arbitration*, Vol II: *Party Autonomy Versus Autonomy of Arbitrators* (Juris Publishing 2012) 171, 174 [9.11].

the governing substantive law falls to the tribunal.¹²⁴ A process for identifying the applicable substantive law absent party choice is a 'necessary corollary' to party autonomy.¹²⁵ These processes are the subject-matter with which this book is concerned. They are also a matter on which there is 'much debate'.¹²⁶

- 1.29 The most obvious circumstances where conflicts of laws might arise are those where the parties do not choose a governing law. This is 'the classic area of conflict-of-laws theory'.¹²⁷ Where there is no party agreement, there is no choice of law to respect, and the arbitral tribunal must make its own determination.
- 1.30 Where the parties have made a clear choice of law, its independent identification by the tribunal may become 'unnecessary'¹²⁸ as tribunals should not 'substitute' their own choice for that of the parties.¹²⁹ Choice of law, both express¹³⁰ and implied,¹³¹ has a positive and a negative effect similar to arbitration agreements. However, conflicts questions may still arise (or may still remain relevant) even where a party choice of law has been made, in seven circumstances.
- 1.31 First, the parties' choice may not deal with all matters in dispute.¹³² Party choice circumscribes the limits of potential conflicts questions, which may still exist beyond the boundaries of that choice.¹³³ For example, in *ICC Case No 9517/1998*, the parties' agreement selected Dubai law for 'its construction and effect'.¹³⁴ Undertaking a conflict of laws analysis, given the narrow scope of this choice, the tribunal determined that Dubai law also

¹²⁴ Gaillard and Savage (n 23) 865 [1537]. See, eg, *ICC Case No 1455/1967* (1978) III YBCA 215, 215 [i]; *ICC Case No 5713/1989* (1990) XV YBCA 70, 71 [1].

¹²⁵ Ulrich Magnus, 'Article 4 Rome I Regulation: The Applicable Law in the Absence of Choice' in Franco Ferrari and Stefan Leible (eds), *Rome I Regulation—The Law Applicable to Contractual Obligations in Europe* (Sellier European Law Publishers 2009) 27, 27.

¹²⁶ Michael Schneider and Paolo Michele Patocchi, 'The New Swiss Law on International Arbitration' (1989) 55 *Arbitration* 268, 276 [27].

¹²⁷ Lehmann (n 94) 429.

¹²⁸ Lew, Mistelis, and Kröll (n 81) 412–13 [17–6]. See, eg, *ICC Case No 8177/1995* (2001) 12(1) *ICC Bull* 85, 88 [2.5].

¹²⁹ Lew, Mistelis, and Kröll (n 81) 419 [17–23].

¹³⁰ Adrian Briggs, *Agreements on Jurisdiction and Choice of Law* (Oxford University Press 2008) 436 [11.25].

¹³¹ Brooke Adele Marshall, 'Reconsidering the Proper Law of the Contract' (2012) 13 *Melbourne Journal of International Law* 505, 515.

¹³² Lew, Mistelis, and Kröll (n 81) 424 n 50; Simon Greenberg, Christopher Kee, and J Romesh Weeramantry, *International Commercial Arbitration—An Asia-Pacific Perspective* (Cambridge University Press 2011) 102 [3.26].

¹³³ See, eg, *ICC Case No 9797/2000* (2000) 15(8) *Mealey's A-1*, A-3.

¹³⁴ *ICC Case No 9517/1998* (2002) 13(2) *ICC Bull* 87, 88.

independently applied to any other matters in dispute.¹³⁵ In *ICC Case No 8711/1998*, the possibility was explored that an exclusion of the mandatory provisions of Austrian law applicable to Austrian domestic agents meant that ‘there has therefore been no choice of law for this area [and] the law applicable to it is to be ascertained pursuant to the provisions of the *Austrian Private International Law Act*’.¹³⁶ *ICC Case No 9479/1999* is a further example, where the parties’ choice of New York law related to issues of validity only.¹³⁷ Still another possible example relates to privilege—Waincymer posits that if privilege is treated as a substantive matter, a typical broad contractual choice of law clause would not likely extend to privilege issues.¹³⁸

Secondly, some legal issues are not within the scope of permissible party choice. The classic example is party capacity—acknowledged as receiving special treatment in the conflict of laws even in the work of Savigny.¹³⁹ Though the consensus is not universal,¹⁴⁰ it is generally accepted that party choice does not extend to capacity issues.¹⁴¹ *ICC Case No 13954/2007* described this point as ‘well established’ and the parties’ choice of French law did not extend to the capacity issue in that case.¹⁴² Another example recognized in the case law is the question of whether a contract binds one who argues that they are not party to it.¹⁴³ For issues which are not subject to party choice, tribunals typically proceed as if there is no choice;¹⁴⁴ in other words, they apply a conflict of laws analysis.¹⁴⁵ **1.32**

Thirdly, it may be that a particular choice of law is interpreted by a tribunal as a choice of private international law, rather than substantive law.¹⁴⁶ This would be rare,¹⁴⁷ and generally requires express agreement,¹⁴⁸ but can still occur. Similarly, the parties may simply come to a clear agreement as to the relevant conflicts rule (rather than the governing substantive **1.33**

¹³⁵ *ibid.* ¹³⁶ *ICC Case No 8711/1998* (2001) 12(1) ICC Bull 120, 121.

¹³⁷ *ICC Case No 9479/1999* (2001) 12(2) ICC Bull 67, 68.

¹³⁸ Waincymer, *Procedure and Evidence* (n 24) 803. ¹³⁹ Savigny (n 15) 195.

¹⁴⁰ Lehmann (n 94) 424.

¹⁴¹ Yves Derains, ‘Choice of the Law Applicable to the Contract and International Arbitration’ (1995) 6(1) ICC Bull 10, 16 (hereafter Derains, ‘Choice of the Law Applicable’).

¹⁴² *ICC Case No 13954/2007* (2010) XXXV YBCA 218, 228 [23].

¹⁴³ *ICC Case No 6268/1990* (1990) 1(2) ICC Bull 23, 23.

¹⁴⁴ *ICC Case No 13954/2007* (2010) XXXV YBCA 218, 228 [23].

¹⁴⁵ Peter Burckhardt and Philipp Groz, ‘The Law Governing the Merits of the Dispute and Awards *ex Aequo et Bono*’ in Elliott Geisinger, Nathalie Voser, and Angelina Petti (eds), *International Arbitration in Switzerland—A Handbook for Practitioners* (2nd edn, Kluwer 2013) 153, 163–64. Some case law applies unique conflicts rules to the capacity question—see, eg, *ICC Case No 6474/1992* (2004) 15(2) ICC Bull 102, 103 [150].

¹⁴⁶ Croft, Kee, and Waincymer (n 19) 399 [35.12].

¹⁴⁷ Blessing, ‘Regulations’ (n 22) 393. ¹⁴⁸ Natov (n 123) 173 [9.06], 174 [9.12].

law)¹⁴⁹—an example given in the draft procedural order contained in Appendix 3. In *ICC Case No 6360/1990*, the parties' contract stipulated that the dispute was to be given 'into the hands of the International Chamber of Commerce in The Hague Holland based on Dutch law'.¹⁵⁰ This was interpreted as a choice of private international law.¹⁵¹ Likewise, in *ICC Case No 5607/1989*, a clause providing that 'Austrian law will be applicable' was held to constitute a choice of private international law.¹⁵² Whether or not this is the case will depend upon a tribunal's interpretation of the parties' clause—though if such an interpretation is upheld, a conflicts analysis will then be required.

- 1.34** Fourthly, it may be that an apparent choice of law is interpreted as an incorporation of contractual terms, rather than as a choice of law per se. This might particularly occur where parties choose an international instrument to govern their relationship, and will still require the identification of an underlying applicable law. This occurred in *ICC Case No 7585/1992*, where the parties' contract was to be 'governed by and construed in accordance with' the CISG.¹⁵³ After interpreting this choice as having 'the same nature as an agreement', the tribunal determined (using an independent conflicts analysis) that the Convention would apply as a body of law in any event, as part of Italian law, and thus also had 'a statutory nature' in the case at hand.¹⁵⁴
- 1.35** Fifthly, it may be necessary to resort to conflicts analyses in a battle of the forms, where the parties' standard terms each choose different laws, to ascertain the validity and effectiveness (or otherwise) of their choice.¹⁵⁵ Sixthly, some statutory provisions such as the Late Payment of Commercial Debts (Interest) Act 1998 (UK), s 12(1) and (2) require consideration of the law that would apply, through a conflicts analysis, independently of any party choice of law. Finally, a choice of law clause may be expressed unclearly.¹⁵⁶ Uncertainty may result of such a magnitude that the clause is void,¹⁵⁷ or alternatively, it might be vitiated for other reasons such as fraud.¹⁵⁸ In such cases, conflicts analyses are required once again.¹⁵⁹

¹⁴⁹ See, eg, *ICC Case No 6560/1990* (1992) XVII YBCA 226, 227 [4].

¹⁵⁰ *ICC Case No 6360/1990* (1990) 1(2) ICC Bull 24, 24. ¹⁵¹ *ibid.*

¹⁵² *ICC Case No 5607/1989* (2002) 13(2) ICC Bull 55, 55–56.

¹⁵³ *ICC Case No 7585/1992* (1995) 6(2) ICC Bull 60, 60. ¹⁵⁴ *ibid.*, 61.

¹⁵⁵ Thomas Kadner Graziano, 'Solving the Riddle of Conflicting Choice of Law Clauses in Battle of Forms Situations: The Hague Solution' (2012–13) 14 Yearbook of Private International Law 71, 80–87.

¹⁵⁶ Croft, Kee, and Waincymer (n 19) 399 [35.12].

¹⁵⁷ Peter Stone, *EU Private International Law* (3rd edn, Edward Elgar Publishing 2014) 296.

¹⁵⁸ Natov (n 123) 182–83 [9.44].

¹⁵⁹ See, eg, *ICC Case No 10422/2001* (Unilex 2001) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=957&step=Abstract>>.

III. THE IMPORTANCE OF CONFLICTS OF LAWS QUESTIONS IN INTERNATIONAL COMMERCIAL ARBITRATION

The importance of the conflicts questions addressed by this book are an essential element of their context. This section now analyses this importance by reference to the prevalence of arbitral conflicts of laws, and the legal issues which their resolution may affect. **1.36**

A. THE PREVALENCE OF CONFLICTS OF LAWS

Though the literature universally encourages parties to choose the governing substantive law,¹⁶⁰ the mere existence of published awards dealing with conflicts questions is evidence that arbitral conflicts do arise.¹⁶¹ However, establishing that these questions *exist* is not a measure of their *importance*. What evidence is there as to the *prevalence* of arbitral conflicts of laws? **1.37**

Anecdotal evidence supports the view that conflicts questions arise in international commercial arbitration on a not-infrequent basis.¹⁶² This anecdotal evidence is not perfect, however, being based on impression and observation rather than on quantitative data. No single commentator has enough involvement with arbitration to say with absolute certainty that their impressionistic views are accurate. Turning then to statistical evidence, an important point to note from the outset is that '[t]here are no comprehensive statistics on international arbitration'.¹⁶³ The annual statistical reports published in the ICC International Court of Arbitration Bulletin (now the ICC Dispute Resolution Bulletin) are nevertheless a particularly useful source of data. These reports typically disclose the percentage of cases or contracts submitted to ICC arbitration where the parties chose the governing law in their contract. **1.38**

This is not a perfect inverse measure of the prevalence of conflicts questions in ICC arbitration. These statistics capture choice of law in parties' contracts only,¹⁶⁴ so do not reflect the possibility that the governing law may be chosen 'after a contract has been entered into, after a dispute has **1.39**

¹⁶⁰ See, eg, Jan Paulsson, Nigel Rawding, and Lucy Reed, *The Freshfields Guide to Arbitration Clauses in International Contracts* (3rd edn, Kluwer 2010) 18–19; Chukwumerije (n 98) 310.

¹⁶¹ Chukwumerije (n 98) 294.

¹⁶² See, eg, Born, *ICA* (n 2) 2625.

¹⁶³ Michael Pryles, 'The Case for International Arbitration' [2003] Australian Mining and Petroleum Law Association Yearbook 1, 4.

¹⁶⁴ See, eg, ICC, '2015 Statistics' (n 10) 17.

arisen or after an arbitration has been filed'.¹⁶⁵ For example, an implicit choice might be constituted by both parties pleading on the basis of the same law,¹⁶⁶ or an express agreement on the governing law may be made *ex post facto* at the hearing¹⁶⁷ or during the preparation of terms of reference.¹⁶⁸ However, three factors tell against the conclusion that the incidence of arbitral conflicts is significantly less than that suggested by this data. First, the existence of a dispute and its escalation to arbitration may mean that the parties are less likely to then reach consensus on this and other procedural matters.¹⁶⁹ Secondly, even if parties do reach a post-contractual agreement on the governing law, that agreement will be made in the shadow of the potential outcomes of the conflicts process. And thirdly, as explained in Section II of this chapter, conflicts questions can still arise even where a choice of law has been made.

- 1.40** As these statistics pertain to ICC arbitration, they also do not necessarily reflect the experience of other arbitral institutions or of ad hoc arbitration. However, it is reasonable to use this data as a rough approximation of the wider position in arbitration. Of the world's many arbitral institutions, the ICC has been described as '[t]he long-standing leader in the field',¹⁷⁰ with 'the broadest geographical reach across the broadest range of industry sectors'.¹⁷¹ Because of its size and reach, it has been suggested that the ICC 'probably is as representative an institution as can be found in so far as international commercial arbitrations are concerned'.¹⁷²

¹⁶⁵ Born, *ICA* (n 2) 2770. See, eg, *ICC Case No 8177/1995* (2001) 12(1) ICC Bull 85, 86 [2].

¹⁶⁶ Waincymer, *Procedure and Evidence* (n 24) 991. See, eg, *ICC Case No 8177/1995* (2001) 12(1) ICC Bull 85, 87 [2.2]; *ICC Case No 10114/2000* (2001) 12(2) ICC Bull 100, 101; *ICC Case No 11601/2002* (Unilex 2002) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=1421&step=Abstract>>.

¹⁶⁷ See, eg, *Serbian Chamber of Commerce (Foreign Trade Court of Arbitration) Case No T-9/07/2008* (Pace University Albert H Kritzer CISG Database 2011) [4] <<http://cisgw3.law.pace.edu/cases/080123sb.html>>; *CAM Case No A-1795/51/1996* (Unilex 1996) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=622&step=Abstract>>; *ICC Case No 12889/2004* (Unilex 2004) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=1398&step=Abstract>>; *ICC Case No 6360/1990* (1990) 1(2) ICC Bull 24, 24; *ICC Case No 9574/1998* (2000) 11(2) ICC Bull 107, 107.

¹⁶⁸ Reece, Massot, and Bartoli (n 21) 202.

¹⁶⁹ See generally Mustill, 'History and Background' (n 61) 55.

¹⁷⁰ Christopher Drahozal, 'Commercial Norms, Commercial Codes, and International Commercial Arbitration' (2000) 33 *Vanderbilt Journal of Transnational Law* 79, 100.

¹⁷¹ Simon Greenberg, 'ICC Arbitration and Australia' in Luke Nottage and Richard Garnett (eds), *International Arbitration in Australia* (The Federation Press 2010) 122, 135 (hereafter Greenberg, 'ICC Arbitration').

¹⁷² Stephen Bond, 'Party Autonomy: The Choice of Place' (1992) 8 *Arbitration International* 83, 84–85.

In addition, the ICC is ‘the institution of preference’ for ‘sophisticated’ users of arbitration.¹⁷³ The sophistication of its users might support an assumption that ICC arbitrations are more likely to implicate choice of law clauses, though this assumption may not hold where institutions such as the Chinese European Arbitration Centre adopt innovative and facilitative check-box choice of law clauses.¹⁷⁴ It might be posited that data drawn from ICC arbitrations is likely to underestimate the prevalence of conflicts questions in international commercial arbitration, reinforcing the importance of conflicts as established by these statistics. **1.41**

Data concerning party choice of law in ICC arbitration from 1990 to 2015 is presented in Table 1.1. In some years the ICC’s statistical reports disclose the percentage of *cases* involving a contractual choice, while in **1.42**

TABLE 1.1 ICC choice of law data, 1990–2015

Year of ICC statistics	Percentage of contracts/cases involving choice of law or rules of law
2015 ¹	85% (cases)
2014 ²	84% (cases)
2013 ³	90% (cases)
2012 ⁴	88% (cases)
2011 ⁵	84% (cases)
2010 ⁶	N/A—‘the great majority of parties’
2009 ⁷	88% (contracts)
2008 ⁸	86.8% (contracts)
2007 ⁹	79.8% (contracts)
2006 ¹⁰	84.7% (contracts)
2005 ¹¹	81% (cases)
2004 ¹²	80.4% (contracts)
2003 ¹³	82% (contracts)
2002 ¹⁴	81.7% (contracts)
2001 ¹⁵	78% (cases)
2000 ¹⁶	77% (cases)

(continued)

¹⁷³ Gary Born, *International Arbitration: Cases and Materials* (2nd edn, Kluwer 2015) 77.

¹⁷⁴ Art 35(1) CEAC Rules 2012.

TABLE 1.1 Continued

Year of ICC statistics	Percentage of contracts/cases involving choice of law or rules of law
1999 ¹⁷	82% (cases)
1998 ¹⁸	N/A
1997 ¹⁹	81.3% (cases)
1996 ²⁰	87% (cases)
1995 ²¹	81.7% (contracts)
1994 ²²	81% (cases)
1993 ²³	83.3% (cases)
1992 ²⁴	N/A
1991 ²⁵	More than 83.7% (cases)
1990 ²⁶	N/A

Notes:

¹ ICC, '2015 Statistics' (n 10) 17.² International Chamber of Commerce, '2014 ICC Dispute Resolution Statistics' [2015] (1) ICC Bull 7, 15.³ International Chamber of Commerce, '2013 Statistical Report' (2014) 25(1) ICC Bull 5, 13–14.⁴ International Chamber of Commerce, '2012 Statistical Report' (2013) 24(1) ICC Bull 5, 13.⁵ International Chamber of Commerce, '2011 Statistical Report' (2012) 23(1) ICC Bull 5, 14.⁶ International Chamber of Commerce, '2010 Statistical Report' (2011) 22(1) ICC Bull 5, 14.⁷ International Chamber of Commerce, '2009 Statistical Report' (2010) 21(1) ICC Bull 5, 12.⁸ International Chamber of Commerce, '2008 Statistical Report' (2009) 20(1) ICC Bull 5, 12.⁹ International Chamber of Commerce, '2007 Statistical Report' (2008) 19(1) ICC Bull 5, 12.¹⁰ International Chamber of Commerce, '2006 Statistical Report' (2007) 18(1) ICC Bull 5, 11.¹¹ International Chamber of Commerce, '2005 Statistical Report' (2006) 17(1) ICC Bull 5, 11.¹² International Chamber of Commerce, '2004 Statistical Report' (2005) 16(1) ICC Bull 5, 11.¹³ International Chamber of Commerce, '2003 Statistical Report' (2004) 15(1) ICC Bull 7, 13.¹⁴ International Chamber of Commerce, '2002 Statistical Report' (2003) 14(1) ICC Bull 7, 14.¹⁵ International Chamber of Commerce, '2001 Statistical Report' (2002) 13(1) ICC Bull 5, 12.¹⁶ International Chamber of Commerce, '2000 Statistical Report' (2001) 12(1) ICC Bull 5, 11.¹⁷ International Chamber of Commerce, '1999 Statistical Report' (2000) 11(1) ICC Bull 4, 10.¹⁸ International Chamber of Commerce, '1998 Statistical Report' (1999) 10(1) ICC Bull 4, 8–9.¹⁹ International Chamber of Commerce, '1997 Statistical Report' (1998) 9(1) ICC Bull 4, 8.²⁰ International Chamber of Commerce, '1996 Statistical Report' (1997) 8(1) ICC Bull 6, 10.²¹ International Chamber of Commerce, '1995 Statistical Report' (1996) 7(1) ICC Bull 3, 8.²² International Chamber of Commerce, '1994 Statistical Report' (1995) 6(1) ICC Bull 3, 5.²³ International Chamber of Commerce, '1993 Statistical Report' (1994) 5(1) ICC Bull 20, 22.²⁴ Jean-François Bourque, 'Ten Years of ICC Arbitration (1983–1992)—A Statistical Survey' (1993) 4(1) ICC Bull 3.²⁵ International Chamber of Commerce, 'A Statistical Survey of ICC Arbitration in 1991' (1992) 3(1) ICC Bull 5, 7.²⁶ International Chamber of Commerce, 'A Report on ICC Arbitration in 1990' (1991) 2(1) ICC Bull 3.

other years the percentage of *contracts* is reported. For some years there is no data, or merely qualitative descriptions.

- 1.43** As cases and contracts are different measures, they are best considered separately. The data presented in Table 1.1 is depicted along these two lines, in Figures 1.1 and 1.2. Figure 1.1 plots the percentage choices of law

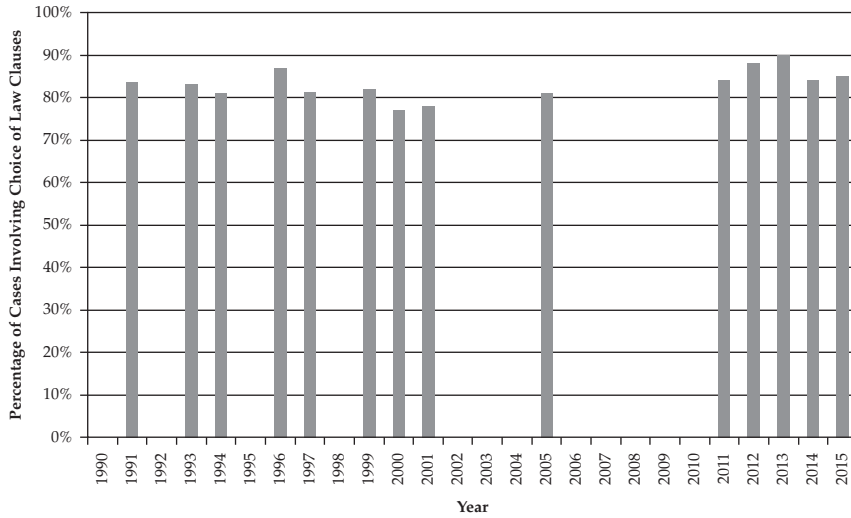


FIGURE 1.1 ICC choice of law percentages (cases), 1990–2015

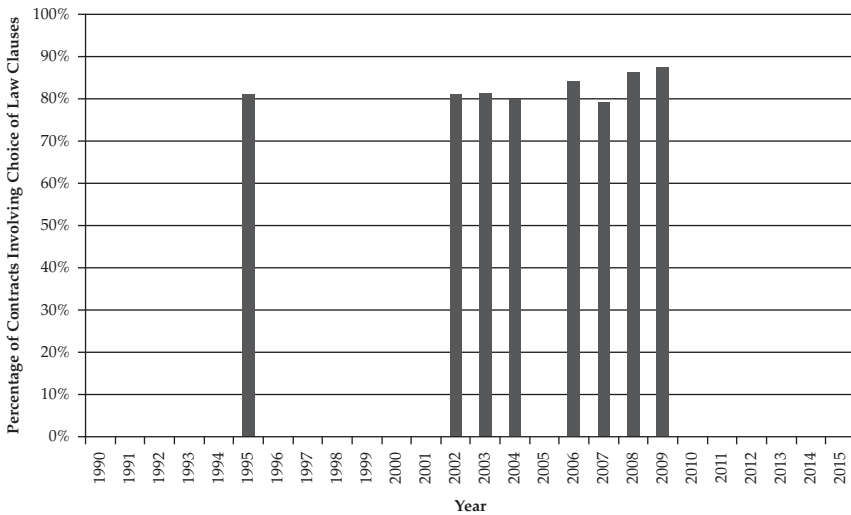


FIGURE 1.2 ICC choice of law percentages (contracts), 1990–2015

in ICC *cases* between 1990 and 2015, for the years in which this data is reported, while Figure 1.2 does the same for *contracts*.

These statistics confirm that party choice of law is the most common state of affairs, but also confirm that conflicts questions may arise in a

meaningful number of cases. Based on this data, ICC arbitration has seen choices made (on average)¹⁷⁵ in 83.24 per cent of cases, and in 83.14 per cent of contracts. These figures suggest that conflicts questions could potentially arise in around 16.76 per cent of cases, and in 16.86 per cent of contracts, submitted to ICC arbitration.

- 1.45** These statistics do differ from those collected by both the School of International Arbitration's 2010 study, and the Global Sales Law Survey. However, their respective conclusions are not necessarily inconsistent. While the SIA's 2010 study found that 94 per cent of respondents having dispute resolution policies (itself 68 per cent of the sample) had 'a position on the preferred law',¹⁷⁶ these positions were of various strengths¹⁷⁷ and the study does not evidence how successful respondents were in negotiating outcomes consistent with their policies. Further, while the Global Sales Law Survey found that 47 per cent of businesses included choice of law clauses in their standard terms,¹⁷⁸ this figure did not specifically relate to arbitration, related to standard terms only, and did not account for individually negotiated contracts or choices of law. The ICC's data, while not perfect, is the most instructive empirical evidence in the present context.
- 1.46** It is 'almost impossible to assess the number of cases that are arbitrated each year',¹⁷⁹ and for some institutions published case-load data does not exist.¹⁸⁰ However, if a given percentage of cases will consistently (potentially) implicate conflicts issues, the number of such cases will be proportional to the total number of arbitrated disputes. Born's *International Commercial Arbitration* collates case-load data for twelve institutions¹⁸¹ between 1993 and 2011, and the sum of their 2011 case-loads is 7,776 cases.¹⁸² Taking 16.76 per cent of this case-load gives 1,303 cases—an objectively high number of cases in which conflicts might potentially arise. This figure, however, still disregards the case-loads of the hundreds of other arbitral institutions in

¹⁷⁵ These average figures are non-weighted means, and have been rounded to the nearest two decimal points.

¹⁷⁶ SIA, '2010 Survey' (n 50) 5. ¹⁷⁷ *ibid.*, 6.

¹⁷⁸ Schwenzer and Kee (n 56) 436. ¹⁷⁹ Cuniberti (n 82) 417.

¹⁸⁰ One example being ACICA—Albert Monichino and Alex Fawke, 'International Arbitration in Australia: 2012/2013 in Review' (2013) 24 *Australasian Dispute Resolution Journal* 208, 223.

¹⁸¹ These are the AAA, BCICAC, CIETAC, HKIAC, ICC, JCAA, KCAB (Korean Commercial Arbitration Board), KLRCA, LCIA, LMAA (London Maritime Arbitrators Association), SIAC, and SCC—Born, *ICA* (n 2) 94.

¹⁸² *ibid.*

the world,¹⁸³ ad hoc arbitration, and also the world's growing arbitral case-load.¹⁸⁴

B. LEGAL ISSUES AFFECTED BY THE RESOLUTION OF CONFLICT OF LAWS QUESTIONS

The conflicts questions addressed by this book are therefore important when assessed against their prevalence. This importance can also be demonstrated by reference to the legal issues that their resolution may affect. Though arbitral conflicts can be complex,¹⁸⁵ difficult,¹⁸⁶ and time-consuming and expensive to resolve,¹⁸⁷ they are part of the 'science' of arbitral decision-making.¹⁸⁸ Specifically, conflict of laws questions in international commercial arbitration impact upon the determination of party rights and obligations, the performance of parties' contractual obligations, the ability to present and argue a case, and settlement. **1.47**

1. The Determination of Party Rights and Obligations

The most visible legal issue affected by the resolution of arbitral conflicts is the determination of party rights and obligations. This is because international commercial arbitration is a process involving the adjudication of disputes according to law, and arbitral conflicts identify the law that is applied to determine those rights and obligations. **1.48**

a) Adjudication according to law

It has not always been the case that arbitration involved the application of law.¹⁸⁹ Arbitration has a long history,¹⁹⁰ and as noted by Boyd, '[t]here **1.49**

¹⁸³ According to Manjiao, there are 202 arbitral institutions in China alone—Chi Manjiao, "'The Iceberg Beneath the Water': The Hidden Discrimination Against the *Lex Mercatoria* in Chinese Arbitration' (2011) 7 *Journal of Private International Law* 341, 357. Cheng puts the figure even higher, at 'over 250'—Teresa Cheng, 'Features of Arbitral Practice That Contribute to System-Building' (2012) 106 *Proceedings of the Annual Meeting (American Society of International Law)* 292, 294.

¹⁸⁴ See, eg, Mistelis, 'Arbitral Seats' (n 9) 365–66.

¹⁸⁵ W Laurence Craig, William W Park, and Jan Paulsson, *International Chamber of Commerce Arbitration* (3rd edn, Oceana Publications 2000) 320.

¹⁸⁶ Schwenger, Hachem, and Kee (n 97) 51 [4.01]; Lew, Mistelis, and Kröll (n 81) 415 [17-12].

¹⁸⁷ Nigel Blackaby and others, *Redfern and Hunter on International Arbitration* (5th edn, Oxford University Press 2009) 230 [3.205].

¹⁸⁸ Lucy Reed, 'The 2013 Hong Kong International Arbitration Centre Kaplan Lecture—Arbitral Decision-Making: Art, Science or Sport?' (2013) 30 *Journal of International Arbitration* 85, 87.

¹⁸⁹ Mayer, 'Reflections' (n 3) 289 [15-3].

¹⁹⁰ Born, *ICA* (n 2) 6–70.

was indeed a time ... when judges themselves quite explicitly acknowledged that an arbitrator need not apply the law where it produced a harsh result'.¹⁹¹ This judicial recognition is illustrated by the 1791 English decision of *Knox v Symmonds*:

Upon a general reference to arbitration of all matters in dispute between the parties the arbitrator has a greater latitude than the Court, in order to do complete justice between the parties; for instance, he may relieve against a right, which bears hard upon one party; but which, having been acquired legally and without fraud, could not be resisted in a Court of Justice ...¹⁹²

- 1.50** However, *Knox v Symmonds* can be contrasted to later English authority such as the 1886 case of *Re Carus-Wilson and Greene*, where the judicial nature of arbitration was emphasized:

If it appears from the terms of the agreement by which a matter is submitted to a person's decision, that the intention of the parties was that he should hold an inquiry *in the nature of a judicial inquiry*, and hear the respective cases of the parties, and decide upon evidence laid before him, then the case is one of an arbitration. The intention in such cases is that there shall be a *judicial inquiry worked out in a judicial manner*.¹⁹³

- 1.51** Similarly, though French arbitration has its historical basis in the rendering of fair and just decisions, modern French arbitration is grounded in the application of law.¹⁹⁴ The adjudication of disputes according to law has become a key characteristic of international commercial arbitration.¹⁹⁵ The tribunal's ruling on the merits is 'the essence of arbitration',¹⁹⁶ and is an incident of a tribunal's duty to resolve disputes in an adjudicatory manner.¹⁹⁷ This reflects the 'often cited'¹⁹⁸ notion that contracts 'are incapable of existing in a legal vacuum'.¹⁹⁹ It is '[a] system of law or a body of rules or principles [which] governs the various aspects of a contract',²⁰⁰

¹⁹¹ Stewart Boyd, '“Arbitrator Not to be Bound by the Law” Clauses' (1990) 6 *Arbitration International* 122, 128.

¹⁹² *Knox v Symmonds* (1791) 1 Ves Jr 369, 370; 30 ER 390, 391.

¹⁹³ *Re Carus-Wilson and Greene* (1886) 18 QBD 7 (CA) 9 (emphasis added).

¹⁹⁴ Jean-Louis Delvolvé, Gerald Pointon, and Jean Rouche, *French Arbitration Law and Practice: A Dynamic Civil Law Approach to International Arbitration* (2nd edn, Kluwer 2009) 1–2 [4]–[6], 131 [248].

¹⁹⁵ *ibid*, 131 [248].

¹⁹⁶ Maud Piers and Johan Erauw, 'Application of the UNIDROIT Principles of International Commercial Contracts in Arbitration' (2012) 8 *Journal of Private International Law* 441, 443.

¹⁹⁷ Waincymer, *Procedure and Evidence* (n 24) 96.

¹⁹⁸ *Star Shipping AS v China National Foreign Trade Transportation Corporation (The Star Texas)* [1993] 2 Lloyd's Rep 445 (CA) 450.

¹⁹⁹ *Amin Rasheed Shipping Corp v Kuwait Insurance Co (The Al Wahab)* [1984] 1 AC 50 (HL) 65.

²⁰⁰ AFM Maniruzzaman, 'Choice of Law in International Contracts—Some Fundamental Conflict of Laws Issues' (1999) 16(4) *Journal of International Arbitration* 141, 141.

and without a supporting legal framework, contracts 'are mere pieces of paper devoid of all legal effect'.²⁰¹ It is suggested by Born that parties 'often' choose international arbitration 'because they desire enhanced certainty and predictability concerning their legal rights'.²⁰² This motivation is consistent with the basis of arbitration being a process of adjudication in law.

b) Arbitrations conducted as ex aequo et bono or as amiable compositeur

One exception to this principle is arbitration according to equitable norms. Such arbitrations are typically described as being conducted as *ex aequo et bono* or as *amiable compositeur*. For the purposes of this book, these terms are used interchangeably; however, the debate as to whether there are differences between them is noted.²⁰³ In these kinds of arbitrations, disputes are resolved 'on the basis of what is "fair and reasonable", rather than on the basis of law',²⁰⁴ though there are still limits placed on such authorization and arbitrators are not permitted to exceed their jurisdiction.²⁰⁵ As identified in paragraph 1.09, arbitration according to equitable principles is beyond the scope of this book in so far as it rests upon an exercise of party autonomy. However, it is addressed here to demonstrate that even in such cases, recourse to conflicts methodologies may still be necessary. 1.52

As noted in *Redfern and Hunter*, an arbitral tribunal will decide on the basis of law, or 'exceptionally' upon considerations of fairness and reasonableness.²⁰⁶ This suggests that arbitration as *amiable compositeur* is a *limited* exception to adjudication in law. These limitations are twofold. First, arbitration as *amiable compositeur* requires specific party agreement,²⁰⁷ save for anomalous cases such as under the now-superseded *Spanish Arbitration Act 1988* where arbitration in equity was the default rule.²⁰⁸ The ability to conclude such an agreement is recognized in most of the private international law provisions considered by this book;²⁰⁹ the requirement for 1.53

²⁰¹ *The Al Wahab* (n 199) 65.

²⁰² Born, ICA (n 2) 2616. ²⁰³ Gaillard and Savage (n 23) 836–37 [1502].

²⁰⁴ Blackaby, *Redfern & Hunter 6th edn* (n 41) 217 [3.192].

²⁰⁵ ICC Case No 3267/1984 (1987) XII YBCA 87, 92.

²⁰⁶ Blackaby, *Redfern & Hunter 6th edn* (n 41) 185 [3.91].

²⁰⁷ Alexander Bělohávek, 'Application of Law in Arbitration, *Ex Aequo et Bono* and *Amiable Compositeur*' in Alexander Bělohávek, Filip Černý, and Naděžda Rozehnalová (eds), *Czech (& Central European) Yearbook of Arbitration*, Vol III: *Borders of Procedural and Substantive Law in Arbitral Proceedings (Civil Versus Common Law Perspectives)* (Juris Publishing 2013) 25, 39 [2.27] (hereafter Bělohávek, 'Application of Law in Arbitration').

²⁰⁸ David Cairns, 'The Spanish Application of the UNCITRAL Model Law on International Commercial Arbitration' (2006) 22 *Arbitration International* 573, 589.

²⁰⁹ For a small selection of examples, see Art 28(3) *Model Law 2006*; Art 28(3) *Model Law 1985*; Art 1512 *French Arbitration Law 2011*; Art 1497 *French New Code of Civil Procedure 1981*; Art

agreement reflects the fact that principles of equity and fairness are necessarily subjective;²¹⁰ thus, arbitration in equity is not ‘lightly presume[d]’.²¹¹ Arbitrators risk exceeding the scope of their authority and a challenge to their award for an excess of jurisdiction (an *ultra petita* challenge under Art V(1)(c) New York Convention or Art 34(2)(a)(iii) *Model Law 2006*) if deciding in this manner absent party agreement, even where there is no choice of law.²¹² Because of the requirement for specific party agreement, which is in practice rare, arbitration as *amiable compositeurs* does not significantly diminish the general position that arbitrations are adjudicated according to law. It therefore does not significantly diminish the role that conflicts methodologies play in international commercial arbitration, or the practical relevance of the bright-line test proposed by this book.

- 1.54** Secondly, deciding an arbitration as *amiable compositeur* does not necessarily mean that legal rules are irrelevant. Ultimately, attention must be given to the meaning of the particular clause used by the parties, which may reveal some role to be played by the otherwise applicable law. It may be that arbitrators take the view that equitable principles will temper the law.²¹³ For example, in *ICC Case No 3755/1988*, the tribunal interpreted a particular *amiable compositeurs* clause as meaning ‘the pursuit of a law legally applicable is necessary, however [the arbitrators] reserve the right to deviate in the event that they deem that this applicable law would lead to an unfair solution’.²¹⁴ The law was a presumptive starting point. Similarly, it is possible that arbitrators deciding as *amiable compositeurs* might consider that ‘guidance’ can be taken from the law,²¹⁵ that the otherwise applicable law supports their equitable analysis,²¹⁶

187(2) *Swiss Private International Law Act 1987*; *Arbitration Act 1996 (UK)*, s 46(1)(b); Art 35(2) *UNCITRAL Rules 2010*; Art 33(2) *UNCITRAL Rules 1976*; Art 35(2) *CI Arb Rules 2015*; Art 33(4) *DIAC Rules 2007*; Art 23(2) *DIS Rules 1998*; Art 16 *Franco-Arab Rules 2010*; Art 14(3) *HCC Rules 2011*; Art 21(3) *ICC Rules 2012*; Art 31(3) *ICDR Rules 2014*; Art 60(3) *JCAA Rules 2014*; Art 22(3) *LCIA India Rules 2010*; Art 22(4) *LCIA Rules 2014*; Art 42(3) *NAI Rules 2015*; Art 22(3) *SCC Rules 2010*; Art 33(2) *Swiss Rules 2012*; Art 27(3) *VIAC Rules 2013*. cf Art 49(1) *CIETAC Rules 2015*.

²¹⁰ Wolfgang Kühn, ‘Choice of Substantive Law in the Practice of International Arbitration’ (1997) 25 *International Business Lawyer* 148, 148–49.

²¹¹ Born, *ICA* (n 2) 2773.

²¹² Gaillard and Savage (n 23) 835 [1501]. For an example of an award refusing a claimant’s request for a decision *ex aequo et bono* where the parties had not reached an agreement, see *ICC Case No 9771/2001* (Unilex 2001) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=1060&step=FullText>>.

²¹³ Jeff Waincymer, ‘International Arbitration and the Duty to Know the Law’ (2011) 28 *Journal of International Arbitration* 201, 240 (hereafter Waincymer, ‘Duty to Know the Law’).

²¹⁴ *ICC Case No 3755/1988* (1990) 1(2) *ICC Bull* 25, 25.

²¹⁵ Bommel van der Bend, Marnix Leijten, and Marc Ynzonides, *A Guide to the NAI Arbitration Rules Including a Commentary on Dutch Arbitration Law* (Kluwer 2009) 223.

²¹⁶ Berger, *IEA* (n 101) 579.

or that deciding in fairness and equity actually requires application of the law²¹⁷ or the contract's terms.²¹⁸ Alternatively, the parties may authorize equitable arbitration for only part of their contract, creating a kind of equity/law *dépeçage*.²¹⁹ Case law also exists where arbitrators have treated the authorization to decide as *amiable compositeurs* as permitting the adoption of a more discretionary conflicts approach than otherwise authorized under the governing arbitral rules.²²⁰ Where any of these circumstances arise, conflicts methodologies will still be relevant if the parties have not coupled their equity clause with a choice of law.

c) Arbitrations resolved on the basis of the contract

A second purported exception to the proposition that international commercial arbitrations are adjudicated on the basis of law is where disputes are resolved on the basis of the parties' contract. The essence of this exception is summarized well by Chief Justice Patrick Keane, then of the Federal Court of Australia, observing that 'those engaged in international trade and commerce look to their contract lawyers, rather than prescriptive national laws, with which they may not be familiar or comfortable, to protect their substantive interests'.²²¹ 1.55

Examples can be found of authorities either acknowledging or advocating for the resolution of disputes in this way.²²² *Redfern and Hunter* estimates that 'perhaps' 60 to 70 per cent of cases 'turn on the facts'.²²³ Thus, the facts (and the parties' contract) are often paramount. In such cases, it may waste time and costs to resolve questions as to the applicable law.²²⁴ The phenomenon is evident in arbitral case law, such as in *ICC Case No 1990/* 1.56

²¹⁷ William W Park, 'Arbitrator Integrity: The Transient and the Permanent' (2009) 46 San Diego Law Review 629, 693.

²¹⁸ *ICC Case No 3267/1984* (1987) XII YBCA 87, 96.

²¹⁹ cf Bělohávek, 'Application of Law in Arbitration' (n 207) 34–36 [2.20]–[2.23].

²²⁰ *ICC Case No 3742/1983*, cited in *ibid*, 36 n 20.

²²¹ Chief Justice Patrick Keane, 'The Prospects for International Arbitration in Australia: Meeting the Challenge of Regional Forum Competition or Our House Our Rules' (2013) 79 *Arbitration* 195, 196.

²²² See, eg, Blackaby, *Redfern & Hunter 6th edn* (n 41) 185 [3.92]; Yves Derains, 'Possible Conflict of Laws Rules and the Rules Applicable to the Substance of the Dispute' in Pieter Sanders (ed), *UNCITRAL's Project for a Model Law on International Commercial Arbitration (ICCA Congress Series Volume 2, Lausanne, 1984)* (Kluwer 1984) 169, 170 (hereafter Derains, 'Possible Conflict Rules'); Michael Pryles, 'Choice of Law Issues in International Arbitration' (1997) 15 *The Arbitrator* 260, 275.

²²³ Blackaby, *Redfern & Hunter 6th edn* (n 41) 375 [6.75].

²²⁴ Lord David Hacking and Michael Schneider, 'Towards More Cost-Effective Arbitration' (1998) 3 *Arbitration and ADR* 26, 30.

1972²²⁵ and in ICC Case No 10385/2002.²²⁶ In ICC Case No 3267/1984, the tribunal (comprising arbitrators Reymond, Duhot, and Chanenet) observed:

In the second phase of this arbitration none of the parties did require the application of any particular system of law, nor did they rely on any specific provision of any municipal system. The arbitral tribunal sees no reason therefore to depart from the view expressed in its first award on this aspect of the cases. Indeed, as it will appear later, all legal issues in this arbitration depend on the construction and system of the contractual documents.²²⁷

- 1.57** Approaches like these are fortified by private international law provisions such as Art 21(2) *ICC Rules 2012*, which require tribunals to ‘take account of the provisions of the contract, if any, between the parties’. They are also reflected in particular industry practices, such as in the timber trade, where standard form contracts contain no applicable law clause and are said to be self-governing.²²⁸ Empirical evidence suggests that parties accept or at least acknowledge this feature of arbitration. The School of International Arbitration’s 2010 study found that 53 per cent of respondents ‘think that an extensively drafted contract can limit the impact of the governing law “to some extent”’ and 29 per cent ‘think that the impact could be limited “to a great extent”’.²²⁹
- 1.58** This approach has intuitive appeal, as *pacta sunt servanda* (that promises must be kept) is a ‘generally respected’ legal principle.²³⁰ However, it has also been suggested that assuming the immateriality of law where there are detailed contracts ‘is wrong’ since ‘[t]here are often gaps to be filled’.²³¹ Further, to properly understand this purported exception, it is necessary to consider its true nature and rationale. Arbitrators have an ‘often-overlooked, but essential’ duty to apply the law.²³² At face value this might seem in tension with this exception, especially where case law describes contractual provisions as ‘the law of the parties’.²³³ Further, parties’ autonomy rights do not permit

²²⁵ ICC Case No 1990/1972 (1978) III YBCA 217, 217.

²²⁶ ICC Case No 10385/2002 (Unilex 2002) <<http://www.unilex.info/case.cfm?pid=1&do=case&id=1063&step=Abstract>>.

²²⁷ ICC Case No 3267/1984 (1987) XII YBCA 87, 89.

²²⁸ Wioletta Konradi, ‘The Role of *Lex Mercatoria* in Supporting Globalised Transactions: An Empirical Insight into the Governance Structure of the Timber Industry’ in Volkmar Gessner (ed), *Contractual Certainty in International Trade—Empirical Studies and Theoretical Debates on Institutional Support for Global Economic Exchanges* (Hart Publishing 2009) 49, 58–59.

²²⁹ SIA, ‘2010 Survey’ (n 50) 16.

²³⁰ ICC Case No 7365/1997 (2004) 15(2) ICC Bull 108, 108 [8.9]. See also ICC Case No 8716/1997 (2000) 11(2) ICC Bull 61, 62 [1]. cf SIAC Award of 29 August 2011 [2012] 1 SAA 331, 336 [33], 364 [120].

²³¹ Paulsson, Rawding, and Reed (n 160) 20.

²³² Born, *ICA* (n 2) 1997.

²³³ ICC Case No 8817/1997 (2000) XXV YBCA 356, 359 [10].

them to exclude all law²³⁴—and detailed contracts must presumably implicitly exclude all law in order to be self-regulating.

However, on a careful analysis, both tensions can be reconciled. In truth, resolving cases on the basis of the contract does not disregard the law. It instead reflects a false conflict. Any conceivably applicable substantive law would likely respect a contract's express terms,²³⁵ absent recognized categories of case such as agreed sums for breach, where the positions taken in legal systems may differ.²³⁶ Thus, it becomes unnecessary to decide between competing laws if the dispute can be resolved on the basis of the contract's terms. This false conflict rationalization explains awards such as the *Rakoil Case*, where the tribunal did proceed to identify the governing law (the *lex mercatoria*)²³⁷ despite acknowledging that the matter was 'of little significance' on the facts.²³⁸ 1.59

Where cases can be resolved on the basis of the parties' contract, the importance of the conflicts methodologies considered by this book are diminished, but not eliminated. Even these cases still potentially require interpretation of the contract,²³⁹ and contractual interpretation involves the application of substantive legal rules.²⁴⁰ A good example is where particular terms (such as *force majeure*) need to be defined with reference to a legal system.²⁴¹ 1.60

Further, the reality remains that parties can never provide for 'every point that may arise under a contract'²⁴² given their 'bounded rationality'.²⁴³ Applicable laws therefore retain an important gap-filling function.²⁴⁴ This is especially so in long-term contracts, where '[t]he passage of time renders complete contracting both difficult and undesirable'.²⁴⁵ 1.61

²³⁴ Burckhardt and Groz (n 145) 161.

²³⁵ Cento Veljanovski, *Economic Principles of Law* (Cambridge University Press 2007) 123.

²³⁶ *ibid.*, 164–67. ²³⁷ ICC Case No 3572/1982 (1989) XIV YBCA 111, 117 [14]–[19].

²³⁸ *ibid.*, 118 [22].

²³⁹ See, eg, ICC Case No 9117/1998 (2000) 11(2) ICC Bull 83, 83. See also *Bonython v The Commonwealth* [1951] 1 AC 201 (PC) 217.

²⁴⁰ See generally Joshua Karton, 'The Arbitral Role in Contractual Interpretation' (2015) 6 *Journal of International Dispute Settlement* 4. See, eg, ICC Case No 12174/2004 (2014) 25(1) ICC Bull 41, 44; ICC Case No 13615/2008 (2014) 25(1) ICC Bull 49, 54 [36]; ICC Case No 14793/2009 (2014) 25(1) ICC Bull 61, 62 [145]; ICC Case No 15610/2010 (2014) 25(1) ICC Bull 70, 71 [132], 74 [161]; ICC Case No 16291/2010 (2014) 25(1) ICC Bull 76, 77 [7], 78 [13]; ICC Case No 16621/2010 (2014) 25(1) ICC Bull 78, 79 [78]–[82]; SIAC Award of 22 February 2012 [2012] 1 SAA 97, 112 [51]; SIAC Award of 29 August 2011 [2012] 1 SAA 331, 351 [99], 361–62 [111]–[113].

²⁴¹ Chukwumerije (n 98) 296. See, eg, SIAC Award of 20 December 2011 [2012] 1 SAA 221, 223–26 [12]–[19].

²⁴² Christiana Fountoulakis, 'The Parties' Choice of "Neutral Law" in International Sales Contracts' (2005) 7 *European Journal of Law Reform* 303, 303.

²⁴³ Clayton Gillette, 'Commercial Relationships and the Selection of Default Rules for Remote Risks' (1990) 19 *Journal of Legal Studies* 535, 553.

²⁴⁴ Fountoulakis (n 242) 304. ²⁴⁵ Gillette (n 243) 535.

d) The role of the conflict of laws in defining party rights and obligations

- 1.62** The resolution of disputes according to law is therefore a key feature of international commercial arbitration. The law plays a central role in the determination of party rights and obligations²⁴⁶ as the measuring standard against which they are assessed. It is not a ‘non-mandatory model’, but rather ‘the basis for international arbitration’.²⁴⁷
- 1.63** It follows that the way in which the governing substantive law is determined, through arbitral conflicts of laws methodologies, has the potential to affect party rights and obligations. As noted by Binder, ‘it is possible that the tribunal’s choice of law could so dramatically change the legal situation facing a party that it has lost the case before the arbitration is properly underway’.²⁴⁸ Thus, conflicts questions are ‘of crucial practical significance’.²⁴⁹ This intersection between the technical analysis of conflicts theory and commercial outcomes is illustrated very well by Mance LJ’s consideration of the Rome Convention, observing that the England and Wales Court of Appeal ‘was being set an examination question on the applicable law’.²⁵⁰
- 1.64** It is true that the significance of conflicts of laws can be ‘exaggerated’.²⁵¹ The possibility of a false conflict—where potentially applicable laws produce the same result²⁵²—means that the prospect of different outcomes must not be overplayed.²⁵³ Similarly, uniform substantive law initiatives such as the CISG may partially negate the practical impact of arbitral conflicts to the extent of their scope, though a residual law will be required for matters beyond that scope. The *CAM Award of 2001* hosted on Unilex provides an example—Russian law being determined, on a conflicts analysis, as supporting the CISG.²⁵⁴
- 1.65** Nonetheless, even in false conflict situations, methodological concerns arise. Transaction costs arise in identifying and proving that a false conflict exists. Further, if an investigation into the possibility of a false conflict is

²⁴⁶ Natov (n 123) 172 [9.01]. ²⁴⁷ Born, *ICA* (n 2) 2657.

²⁴⁸ Binder (n 107) 336 [6-011].

²⁴⁹ Marc Blessing, ‘Choice of Substantive Law in International Arbitration’ (1997) 14(2) *Journal of International Arbitration* 39, 49 (hereafter Blessing, ‘Choice of Substantive Law’).

²⁵⁰ *Raiffeisen Zentralbank Österreich AG v Five Star Trading LLC* [2001] EWCA Civ 68; [2001] 1 QB 825, [2].

²⁵¹ Born, *ICA* (n 2) 2617.

²⁵² Steven Stein, ‘The Drafting of Effective Choice-of-Law Clauses’ (1991) 8(3) *Journal of International Arbitration* 69, 73.

²⁵³ Blackaby, *Redfern & Hunter 6th edn* (n 41) 186 [3.94]. See, eg, *ICC Case No 8711/1998* (2001) 12(1) *ICC Bull* 120, 121.

²⁵⁴ *CAM Award of 2001* (Unilex 2001) [VI.A.1], [VI.A.6] <<http://www.unilex.info/case.cfm?pid=1&do=case&id=1300&step=FullText>>.

conducted and a false conflict is found lacking, arbitrators are then aware of how their conflicts decision will affect the outcome of the case. While from a Rawlsian perspective it is not necessary that *adjudication* occurs behind a 'veil of ignorance',²⁵⁵ a conflicts methodology based on a bright-line test would mitigate the potential for departure from true legal analysis where the prevailing arbitral discretions facilitate subjectivity, possibly influenced by instinctive sympathies.

Putting aside cases of false conflict and uniform law, it is very possible that two or more potentially applicable substantive laws may diverge.²⁵⁶ It would be 'incautious' to assume otherwise.²⁵⁷ For this reason, parties have 'a great interest' in arbitral conflicts,²⁵⁸ and a failure to properly analyse those conflicts can 'directly impact' their rights and obligations.²⁵⁹ **1.66**

e) Categories of case in which conflicts questions may have a significant impact on the outcome

It is therefore unsurprising that many categories of case can be identified where conflicts questions may directly determine (or have a significant impact upon) the outcome. These cases include, but are not limited to: **1.67**

- contract formation disputes, where there is an absence of consideration;
- disputes involving an alleged oral contract (or contractual amendment);
- disputes where reference is sought to extrinsic materials to interpret a written contract;²⁶⁰
- disputes involving the enforcement of good faith obligations, including obligations to negotiate in good faith;
- disputes involving a complaint over non-disclosure;
- disputes over the entitlement to particular types of remuneration, which may be set out in the parties' contract;
- disputes involving an alleged premature contract termination;
- disputes involving the termination of a contract for breach;
- disputes over the timeliness of a notification of defects given in an international sales transaction;²⁶¹
- disputes involving a claim for specific performance;

²⁵⁵ See generally Rawls (n 119) 136–42; Rawls and Kelly (n 119) 85–89.

²⁵⁶ Blackaby, *Redfern & Hunter 6th edn* (n 41) 186 [3.94].

²⁵⁷ Derains, 'Choice of the Law Applicable' (n 141) 10.

²⁵⁸ Beda Wortmann, 'Choice of Law by Arbitrators: The Applicable Conflict of Laws System' (1998) 14 *Arbitration International* 97, 97.

²⁵⁹ Greenberg, 'The Law Applicable to the Merits' (n 109) 315.

²⁶⁰ *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38; [2009] 1 AC 1101, [28]–[42].

²⁶¹ 11 95 123/357 (Pace University Albert H Kritzer CISG Database, Switzerland, Appellate Court Luzern, 8 January 1997) [4.e] <<http://cisgw3.law.pace.edu/cases/970108s1.html>>.

- disputes over the foreseeability of damages;
- disputes involving a claim for punitive damages;
- disputes involving the enforcement of an agreed sum payable upon breach;
- disputes over the interest rate applicable to sums in arrears;
- disputes involving an excuse claim based on frustration or impossibility;
- disputes over the legal consequences of bribery or corruption connected to a contract;²⁶²
- disputes over the applicable limitation period;²⁶³
- disputes over the availability of set-off;²⁶⁴ and
- disputes governed by the CISG where the States involved have both adopted the Convention, but each have different reservation profiles.²⁶⁵

2. The Performance of the Parties' Contractual Obligations

- 1.68** The second legal issue affected by the resolution of conflicts questions in international commercial arbitration is the parties' performance of their contractual obligations. This is a necessary extension of the understanding that conflicts questions affect party rights and obligations.
- 1.69** The role of the governing substantive law in contractual performance is explained by Derains:

Contrary to an idea that has become too widespread, the question as to which law is applicable to the contract does not only arise in the event of a dispute. It arises as soon as the contract is concluded and sometimes even before, since the validity of the obligations the parties are preparing to undertake in the contract will depend on this choice. In any case, there is no doubt that in the course of performance of the contract the parties need to know what law is applicable to it, as the contractual provisions will not always spell out the full range of their respective rights and obligations.²⁶⁶

²⁶² ICC Case No 6401/1991 (1992) 7(1) Mealey's B-1, B-14–B-19; *Partial Award* in ICC Case No 8113/1995, cited in Abdulhay Sayed, *Corruption in International Trade and Commercial Arbitration* (Kluwer 2004) 173–75; *Final Award* in ICC Case No 8113/1996, cited in Abdulhay Sayed, *Corruption in International Trade and Commercial Arbitration* (Kluwer 2004) 173–75; *Yukos Capital SARL v OAO Samaraneftgaz*, 963 F Supp 2d 289, 298–300 (SD NY, 2013).

²⁶³ ICC Case No 7375/1996 (1996) 11(12) Mealey's A-1; ICC Case No 11061/2001, cited in Horacio Grigera Naón, 'Choice-of-Law Problems in International Commercial Arbitration' (2001) 289 *Recueil des Cours* 9, 266–69; ICC Case No 14630/2008 (2012) XXXVII YBCA 90, 95–96 [4]–[12].

²⁶⁴ ICC Case No 5971 (1995) 13 ASA Bulletin 728, 739–41 [137]–[141]; ICC Case No 5946/1990 (1991) XVI YBCA 97, 113–16 [52]–[61]; ICC Case No 3540/1980 (1982) VII YBCA 124, 132; ICAC Case No 109/1980 (1993) XVIII YBCA 92, 106 [35].

²⁶⁵ ICC Case No 10274/1999 (2004) XXIX YBCA 89.

²⁶⁶ Derains, 'Choice of the Law Applicable' (n 141) 10.

Uncertainty over the governing law leaves parties ‘less able to clearly identify’ their rights and obligations during performance.²⁶⁷ This might particularly be so for less sophisticated or lesser resourced merchants who might not be able to obtain professional advice, and for whom engaging in formal dispute resolution is not viable. Just as choice of law clauses help prescribe a transaction’s ‘parameters’ during performance,²⁶⁸ conflicts questions may result in performance becoming more complex and difficult to administer, with the possible result of contractual relations breaking down.²⁶⁹ **1.70**

Uncertainty in identifying the governing substantive law in an international commercial arbitration leads to a gap in the law’s reach. If a tribunal determines the applicable law at the time of dispute resolution, pursuant to the prevailing broad arbitral discretions, the applicable law is essentially determined retroactively—with its effect thrown back to the time of contracting. Arbitral discretion means that absent party choice of law, there is no ‘knowable and particular applicable law from the time [of] negotiat[ion] up until the time of a dispute’.²⁷⁰ From a theoretical or a philosophical point of view, this is not ideal—surely the law must operate prospectively and not retrospectively? The Australian Law Reform Commission argued this point in its 1992 report on choice of law, observing that ‘it is unsatisfactory for parties to a contract to need a legal decision in order to know what law governs their contract’.²⁷¹ **1.71**

3. The Ability to Present and Argue a Case

The third legal issue affected by the resolution of conflicts questions in international commercial arbitration is the ability of parties to present and argue their cases. **1.72**

The ability to present and argue a case is a fundamental issue of arbitral due process, reflected in two ways. First, State arbitral laws (*lex arbitri*) specifically recognize the opportunity to present one’s case as a due process right.²⁷² Secondly, infringement of this right is a basis upon which an award may be annulled,²⁷³ or denied recognition and enforcement.²⁷⁴ **1.73**

²⁶⁷ Waincymer, *Procedure and Evidence* (n 24) 1001.

²⁶⁸ Craig Gertz, ‘The Selection of Choice of Law Provisions in International Commercial Arbitration: A Case for Contractual *Depeçage*’ (1991–92) 12 *Northwestern Journal of International Law and Business* 163, 173.

²⁶⁹ Derains, ‘Choice of the Law Applicable’ (n 141) 10.

²⁷⁰ Waincymer, *Procedure and Evidence* (n 24) 1000–01.

²⁷¹ Australian Law Reform Commission, *Choice of Law*, Report No 58 (1992) 94 [8.38].

²⁷² See, eg, Art 18 *Model Law* 2006.

²⁷³ See, eg, Art 34(2)(a)(ii) *Model Law* 2006.

²⁷⁴ Art V(1)(b) New York Convention.

- 1.74** The resolution of conflicts questions may affect the ability to present and argue a case because, as already explained, arbitration is a process involving adjudication according to law. The parties' factual and legal arguments will be framed around the governing substantive law,²⁷⁵ and may differ depending upon the law applied.²⁷⁶ Determination of the governing law will thus shape subsequent legal argument.²⁷⁷ Understanding which substantive law applies is important from the outset of an arbitration as it can affect the drafting of a claim or defence,²⁷⁸ or the writing of submissions.²⁷⁹ The substance of each party's case might also be the subject of discussion at a first procedural hearing.²⁸⁰ Further, the identity of the applicable law may affect the optimal choice of counsel,²⁸¹ and is empirically demonstrated as relevant to parties' choice of arbitrators.²⁸²
- 1.75** Conflicts questions can also affect parties' ability to present and argue their cases in one further respect, in particular jurisdictions. Choice of counsel is a matter regarded as 'inherent' to due process.²⁸³ In many jurisdictions, local bar rules do not apply to arbitration, and parties may be represented by persons of their choosing.²⁸⁴ It is reported by Pradhan that under Thai law, '[f]oreign nationals may only act for parties in arbitration proceedings where they are defending a case in which the governing law of the dispute is not Thai law and there is no need to apply for an enforcement of the award in Thailand'.²⁸⁵ Thus, in jurisdictions like Thailand, conflicts questions might directly influence the exercise of party representation rights, an important element of due process.

²⁷⁵ Reece, Massot, and Bartoli (n 21) 199. See, eg, *SIAC Award of 16 January 2012* [2012] 1 SAA 253, 270–71 [48], 279 [57].

²⁷⁶ Waincymer, 'Duty to Know the Law' (n 213) 208.

²⁷⁷ *ibid.*, 234. See, eg, *SCC Award of 17 July 1992* (1997) XXII YBCA 199, 203 [18]; *SCC Award of 13 July 1993* (1997) XXII YBCA 204, 204 [20].

²⁷⁸ Derains, 'Choice of the Law Applicable' (n 141) 10.

²⁷⁹ See, eg, *SIAC Award of 19 January 2012* [2012] 1 SAA 1, 3 [9].

²⁸⁰ Nicolas Ulmer, 'Tribunal Logistics: Before, During and After the Hearing' (Kluwer Arbitration Blog 12 August 2013) <<http://kluwerarbitrationblog.com/2013/08/12/tribunal-logistics-before-during-and-after-the-hearing>>.

²⁸¹ David Rivkin, 'Restrictions on Foreign Counsel in International Arbitrations' in Albert Jan van den Berg (ed), *Yearbook Commercial Arbitration*, Vol XVI (Kluwer 1991) 402, 408; J Gillis Wetter, 'Choice of Law in International Arbitration Proceedings in Sweden' (1986) 2 *Arbitration International* 294, 297.

²⁸² SIA, '2013 Survey' (n 51) 21–22; Emilia Onyema, 'Empirically Determined Factors in Appointing Arbitrators in International Commercial Arbitration' (2007) 73 *Arbitration* 199, 204–05.

²⁸³ Born, *ICA* (n 2) 2836.

²⁸⁴ See, eg, Arbitration Act 1996 (UK), s 36.

²⁸⁵ Vinayak Pradhan, 'The Continuing Growth of International Arbitration in Asia' (2013) 79 *Arbitration* 407, 409.

Because the resolution of conflicts questions can affect parties' due process rights, and because their infringement is a basis upon which awards can be impugned, these considerations affect the way in which tribunals are required to conduct arbitral proceedings. Arbitrators have a duty 'to use best endeavours'²⁸⁶ to render an enforceable award.²⁸⁷ Notwithstanding the pro-enforcement policy underpinning the New York Convention,²⁸⁸ '[e]ven a strongly pro-arbitration enforcement court could have equally strong views about rights to be heard'.²⁸⁹ Tribunals should therefore give parties an opportunity to address their preliminary thinking on the applicable law, reach a post-contractual agreement on the governing law, and address the application of the ultimately identified law.²⁹⁰ The absence of merits review in arbitration both 'adds to the duty of care' placed on arbitrators in making conflicts decisions, and 'strengthens [this] view that the parties ought to be given a right to be heard'.²⁹¹ This point of practice is illustrated by *ICC Case No 7375/1996*, where the tribunal found that (pursuant to an implied choice) general principles of law governed the contract.²⁹² It consequently requested that both parties file further submissions as to how the case's prescription issue should be resolved under those general principles.²⁹³ 1.76

The due process implications of tribunals' conflicts decisions are further complicated by the several forms that those decisions can take. Private international law provisions do not fix a specific time for decision.²⁹⁴ Tribunals may determine the governing substantive law through partial or interim awards,²⁹⁵ which then have *res judicata* effects during later stages of the proceedings.²⁹⁶ They may alternatively decide the question alongside the merits in a final award,²⁹⁷ or even identify the governing law 1.77

²⁸⁶ Blackaby, *Redfern & Hunter 6th edn* (n 41) 608 [11.11].

²⁸⁷ Lew, Mistelis, and Kröll (n 81) 279 [12-12]. See, eg, Art 41 *ICC Rules 2012*; Art 32(2) *LCIA Rules 2014*.

²⁸⁸ International Council for Commercial Arbitration (ed), *ICCA's Guide to the Interpretation of the 1958 New York Convention: A Handbook For Judges* (ICCA 2011) 12–16.

²⁸⁹ Waincymer, 'Duty to Know the Law' (n 213) 228. ²⁹⁰ *ibid*, 208, 211.

²⁹¹ *ibid*, 221.

²⁹² *ICC Case No 7375/1996* (1996) 11(12) Mealey's A-1, A-37–A-38 [289]–[290].

²⁹³ *ibid*, A-45 [337], A-45–A-46 [343]–[344].

²⁹⁴ Croft, Kee, and Waincymer (n 19) 402 [35.22].

²⁹⁵ See, eg, *SCC Case No 177/1999* [2002] StockAR 59; *ICC Case No 5717/1988* (1990) 1(2) ICC Bull 22; *ICC Case No 7177/1993* (1996) 7(1) ICC Bull 89; *ICC Case No 7250/1992* (1996) 7(1) ICC Bull 92.

²⁹⁶ *ICC Case No 3267/1984* (1987) XII YBCA 87, 88–89.

²⁹⁷ See, eg, *ICC Case No 5885/1989* (1990) 1(2) ICC Bull 23; *ICC Case No 5713/1989* (1990) 1(2) ICC Bull 24; *ICC Case No 5103/1988* (1990) 1(2) ICC Bull 25; *ICC Case No 6527/1991* (1996) 7(1) ICC Bull 88.

through a procedural order.²⁹⁸ Protection of due process rights evidently needs to be tailored around the form of decision adopted. The later the decision, the greater the uncertainty, and the greater care required (with there also being a greater potential for wasted transaction costs).²⁹⁹ At the same time, due process is a relative concept, and cases also exist where tribunals have refused to prolong proceedings by resolving applicable law issues through partial awards—these cases note the tribunal's position that no violation of due process rights would occur.³⁰⁰

4. Settlement

- 1.78** The facilitation of settlement is said to be an 'objective and historic attraction' of international commercial arbitration.³⁰¹ For example, Art 10 *Code of Ethics* attached to the *CAM Rules 2010* provides that '[t]he arbitrator may at all stages suggest the possibility of a settlement or conciliation of the dispute to the parties', while Art 32(1) *DIS Rules 1998* provides that '[a]t every stage of the proceedings, the arbitral tribunal should seek to encourage an amicable settlement of the dispute or of individual issues in dispute'. Still other arbitration rules facilitate the combination of arbitration with mediation or conciliation.³⁰² The role of arbitrators in promoting settlement is recognized by the International Bar Association,³⁰³ with arbitrators in some jurisdictions and legal traditions actively seeking to facilitate settlement.³⁰⁴ Settlement is the final legal issue affected by the resolution of conflicts questions in international commercial arbitration.

²⁹⁸ See, eg, *Interim Order of 14 February 2003* in *ICC Case No 11754/2003* (2010) 21 ICC Bull Supp 20; *Procedural Order of 7 October 2004* in *ICC Case No 12949/2004* (2010) 21 ICC Bull Supp 86; *Procedural Order on the Law Applicable to the Merits* in *ICC Case No 8817/1997* (2000) XXV YBCA 356. See also *ICC Case No 10274/1999* (2004) XXIX YBCA 89, 93 [5]; *ICC Case No 9415/1998* (2002) 13(2) ICC Bull 82, 83 [205]; *ICC Case No 9574/1998* (2000) 11(2) ICC Bull 107, 107.

²⁹⁹ See, eg, *ICC Case No 5713/1989* (1990) XV YBCA 70; Georgios Petrochilos, 'Arbitration Conflict-of-Laws Rules and the 1980 International Sales Convention' (1999) 52 *Revue Hellenique de Droit International* 191, 215.

³⁰⁰ *ICC Case No 5103/1988* (1990) 1(2) ICC Bull 25, 25. See also the *Chairman's Letter to the Parties* in *ICC Case No 6465/1991* (1994) 121 JDI 1088, 1090, 1092–93.

³⁰¹ Born, *ICA* (n 2) 90.

³⁰² See, eg, Art 47 *CIETAC Rules 2015*; Art 25 *Franco-Arab Rules 2010*; Art 55 *JCAA Rules 2014*.

³⁰³ General Standard 4(D) *IBA Guidelines on Conflicts of Interest in International Arbitration 2014*.

³⁰⁴ See generally Gabrielle Kaufmann-Kohler, 'When Arbitrators Facilitate Settlement: Towards a Transnational Standard' (2009) 25 *Arbitration International* 187; Klaus Peter Berger, 'The International Arbitrator's Dilemma: Transnational Procedure Versus Home Jurisdiction—A German Perspective' (2009) 25 *Arbitration International* 217, 223–26.

There is only limited published evidence concerning settlement rates in international commercial arbitration.³⁰⁵ Greenberg puts the settlement rate in ICC arbitration at ‘about’ 47 per cent.³⁰⁶ It is always possible that disputes submitted to international commercial arbitration may be settled before proceedings culminate in an award. (Though settlement may also occur post-award,³⁰⁷ settlement of this nature is not relevant to this book’s analysis—by this time, determinations as to both the applicable law and the merits have already been made.) This is facilitated by the provisions of arbitral laws³⁰⁸ and rules³⁰⁹ that allow for awards on agreed terms.³¹⁰ Such awards enjoy the benefits of New York Convention enforcement in the same manner as awards rendered after proceedings on the merits.³¹¹ The enforcement of ordinary settlement agreements is otherwise a matter for domestic (contract) law,³¹² absent the operation of a possible future UNCITRAL instrument concerning the enforcement of settlement agreements.³¹³ Of respondents to the School of International Arbitration’s 2008 study, 7 per cent ‘reported settlements that were followed by an arbitral award by consent’,³¹⁴ though examples of reported cases do exist where consent awards following successful settlement were not sought.³¹⁵ 1.79

³⁰⁵ See, eg, SIA, ‘2008 Survey’ (n 49) 6–7; Yaraslau Kryvoi and Dmitry Davydenko, ‘Consent Awards in International Arbitration: From Settlement to Enforcement’ (2014–15) 40 *Brooklyn Journal of International Law* 827, 828–29.

³⁰⁶ Greenberg, ‘ICC Arbitration’ (n 171) 124.

³⁰⁷ SIA, ‘2008 Survey’ (n 49) 8–9.

³⁰⁸ See, eg, Art 30(1) *Model Law* 2006; Art 30(1) *Model Law* 1985; Arbitration Act 1996 (UK), s 51(1), (2).

³⁰⁹ See, eg, Art 36(1) *UNCITRAL Rules* 2010; Art 34(1) *UNCITRAL Rules* 1976; Art 19(4) *CPR Ad Hoc Rules* 2007; Art 21(4) *CPR Administered Rules* 2013; Art 47(5) *CIETAC Rules* 2015; Art 36(1) *CRCICA Rules* 2011; Art 38(1) *Czech Rules* 2015; Art 30(1) *DIA Rules* 2013; Art 25(1) *DIA Simplified Rules* 2013; Art 39(1) *DIAC Rules* 2007; Art 38(2) *HCC Rules* 2011; Art 36(1) *HKIAC Rules* 2013; Art 36(1) *IAMA Rules* 2014; Art 41 *ICAC Rules* 2010; Art 32 *ICC Rules* 2012; Art 32(1) *ICDR Rules* 2014; Art 36 *JAMS Rules* 2011; Art 58(3) *JCAA Rules* 2014; Art 11(6) *KLCA Rules* 2013; Art 26(8) *LCIA India Rules* 2010; Art 26(9) *LCIA Rules* 2014; Art 50(1) *NAI Rules* 2015; Art 39(1) *SCC Rules* 2010; Art 32(10) *SIAC Rules* 2016; Art 34(1) *Swiss Rules* 2012; Art 38 *VIAC Rules* 2013.

³¹⁰ See, eg, *SIAC Award of 27 February 2012* [2012] 1 SAA 191—an additional award for the purpose of correcting a partial award issued on 8 August 2011, which had been rendered as a consent award.

³¹¹ Waincymer, *Procedure and Evidence* (n 24) 1283; Poudret and Besson (n 113) 636 [726]. See, eg, Arbitration Act 1996 (UK), s 51(3).

³¹² See, eg, *Frost v Wake Smith and Tofields Solicitors* [2013] EWCA Civ 772 [1], [9], [33], [37]—litigation involving a claim for professional negligence, which occasioned comment on the (lack of) enforceability of the terms agreed at mediation.

³¹³ cf SIA, ‘2015 Survey’ (n 45) 31–32.

³¹⁴ SIA, ‘2008 Survey’ (n 49) 6.

³¹⁵ See, eg, Explanatory Note to the *Decision in ICC Case No 6032/1991*, in Dominique Hascher (ed), *Collection of Procedural Decisions in ICC Arbitration, 1993–1996* (2nd edn, Kluwer 1998) 59, 59.

- 1.80** It is also possible that disputes falling within the parameters of arbitration agreements can be settled before proceedings are even commenced. Other ADR mechanisms such as negotiation, mediation, or conciliation may be resorted to as voluntary precursors to arbitration, or as prior steps under a multi-tiered dispute resolution clause. In this respect, the now-superseded Art 44 *CIETAC Rules 2000* even provided for the appointment of an arbitrator for the sole purpose of rendering a consent award if proceedings were not otherwise on foot.³¹⁶
- 1.81** There are ‘clear’ advantages of settlement,³¹⁷ and while there is always the potential for settlement agreements to *generate* further proceedings,³¹⁸ in general terms there are obvious efficiency gains to be made by settlement.³¹⁹ As explained in Posner’s seminal *Economic Analysis of Law*, ‘[s]ettlement out of court is cheaper than litigation’³²⁰—particularly in own-costs jurisdictions such as the United States. This can equally be so in arbitration.³²¹ However, optimal settlement decisions require the parties to be properly informed. Thus, party choice of law can facilitate settlement,³²² as can tribunals’ conflicts determinations.³²³ This is understandable where, as previously established, party rights and obligations stand to be affected by the resolution of conflicts questions. Once the governing law is known, it may be that the potential outcomes of that law’s application can then be foreseen, and an educated settlement decision thereby made.
- 1.82** If the parties are negotiating with a view to settlement, their BATNA (best alternative to a negotiated agreement)³²⁴ and WATNA (worst alternative)³²⁵ are relevant. These represent the ‘results you can obtain

³¹⁶ cf David Weiss and Brian Hodgkinson, ‘Adoptive Arbitration: An Alternative Approach to Enforcing Cross-Border Mediation Settlement Agreements’ (2014) 25 *American Review of International Arbitration* 275.

³¹⁷ Lucy Greenwood, ‘A Window of Opportunity? Building a Short Period of Time Into Arbitral Rules in Order for Parties to Explore Settlement’ (2011) 27 *Arbitration International* 199, 207.

³¹⁸ See, eg, *SIAC Award of 21 October 2011* [2012] 1 SAA 127, 135–36 [28]–[33], 137–38 [37], 150 [69]; *SIAC Award of 7 October 2011* [2012] 1 SAA 175, 176 [5].

³¹⁹ Veljanovski (n 235) 10. ³²⁰ Posner (n 117) 761.

³²¹ William W Park, ‘Truth and Efficiency: The Arbitrator’s Predicament’ in Mahnouch Arsanjani and others (eds), *Looking to the Future—Essays on International Law in Honor of W Michael Reisman* (Martinus Nijhoff Publishers 2011) 753, 763; William W Park, ‘Arbitrators and Accuracy’ (2010) 1 *Journal of International Dispute Settlement* 25, 34.

³²² Gertz (n 268) 173.

³²³ Greenberg, ‘The Law Applicable to the Merits’ (n 109) 334.

³²⁴ Roger Fisher and William Ury, with Bruce Patton (ed), *Getting to Yes—Negotiating an Agreement Without Giving In* (2nd edn, Random House 1999) 101–06.

³²⁵ Eileen Carroll and Karl Mackie, *International Mediation—The Art of Business Diplomacy* (2nd edn, Kluwer 2006) 86.

without negotiating'.³²⁶ Reasoned settlement decisions will take both into account, in addition to their estimated odds, and the parties' tolerances for risk.³²⁷ Sometimes, the BATNA will be proceeding with formal dispute resolution, based on its likely outcome³²⁸—effectively, 'winning'—while the WATNA might represent 'losing'. Settlement decisions take place 'in the shadow ... of the arbitration'.³²⁹ The importance of assessing the legal case in this way is supported by the School of International Arbitration's 2008 study, which found that one of the 'four main reasons' motivating settlement in international arbitration was having 'a weak case'.³³⁰

Where parties have difficulty in identifying the law governing their relationship, they are also likely to have difficulty in identifying potential outcomes should the matter proceed to arbitration.³³¹ They are thus likely to have difficulty identifying their BATNA and WATNA, in addition to those concepts being further apart. This distorts their ability to evaluate offers put during the course of negotiations and to ultimately reach an appropriate settlement agreement.³³² As explained by Posner, it is '[o]nly if each disputant expects to do better in the litigation [or arbitration] than his opponent expects him to do' that they are 'likely to fail to agree on settlement terms'; uncertainty being a 'necessary condition of such a divergence'.³³³ 1.83

This is all the more so if one takes the view that the standard of proof, as well as the *lex contractus*, is a substantive law issue.³³⁴ Then, the standard of proof may depend on the governing law.³³⁵ Not only might the parties have difficulty in identifying likely outcomes, but they may also have difficulty assessing the standard and nature of evidence required to substantiate their claims. 1.84

This book seeks to make the outcome of arbitral conflicts processes more certain by proposing a (modified) Art 4 Rome Convention rule. 1.85

³²⁶ Fisher, Ury, and Patton (n 324) 104.

³²⁷ Michael McIlwrath and John Savage, *International Arbitration and Mediation: A Practical Guide* (Kluwer 2010) 173 [4-001].

³²⁸ Samantha Hardy and Olivia Rundle, *Mediation for Lawyers* (CCH 2010) 132—in the litigation context, but equally applicable to international commercial arbitration.

³²⁹ Arthur Marriott, 'Breaking the Deadlock' (2006) 22 *Arbitration International* 411, 420.

³³⁰ SIA, '2008 Survey' (n 49) 7.

³³¹ Waincymer, *Procedure and Evidence* (n 24) 1001.

³³² cf *Homawoo v GMF Assurance SA* [2010] EWHC 1941 (QB) [46], [52].

³³³ Posner (n 117) 761.

³³⁴ Andreas Reiner, 'Burden and General Standards of Proof' (1994) 10 *Arbitration International* 328, 330–32.

³³⁵ ICC Case No 6401/1991 (1992) 7(1) Mealey's B-1, B-19.

This proposal stands to improve parties' ability to have certainty regarding their rights and obligations, to properly perform their obligations, to present and argue their cases, and to make informed settlement decisions.

IV. THE PURPOSES OF CONFLICT OF LAWS RULES

- 1.86** Having addressed these points of detail, it is instructive to step back and assess a more fundamental contextual question—what are the purposes of conflict of laws rules? Conflicts rules should align with the policies underpinning their relevant field of substantive law, though in seeking that alignment, it is essential to also understand the purposes of conflicts rules per se.
- 1.87** *Dicey, Morris and Collins* suggests that '[t]he main justification for the conflict of laws is that it implements the reasonable and legitimate expectations of the parties to a transaction or occurrence'.³³⁶ Nevertheless, what is described here are the ideals informing the conflicts process; thus, party expectation and intention are returned to in Section V of this chapter as the bases of arbitral conflicts analyses. The purpose proper—its *raison d'être*—is found instead in the notion of legal order.
- 1.88** This purpose is particularly evident in the literature concerning conflicts of laws in State court proceedings. This literature is instructive as 'the main objectives of private international law are relevant in the field of international commercial arbitration'.³³⁷ Savigny, in the nineteenth century, recognized this purpose when identifying it as '*the main objective*'³³⁸ of private international law:

It is this diversity of positive laws which makes it necessary to mark off for each, in sharp outline, the area of its authority, to fix the limits of different positive laws in respect of one another. Only by such demarcation does it become possible to decide all the conceivable questions arising from the conflict of different systems of positive law in reference to the decision of a given case.

The converse mode of procedure may also be followed, in order to [seek] the solution of such questions. When a legal relation presents itself for adjudication, we seek for a rule of law to which it is subject, and in accordance with which it is to be

³³⁶ Collins (n 7) 4 [1-005].

³³⁷ Pierre Mayer, 'Conflicting Decisions in International Commercial Arbitration' (2013) 4 *Journal of International Dispute Settlement* 407, 419 [36].

³³⁸ *ibid*, 407 [1] (emphasis in original).

decided; and since we have to choose between several rules belonging to different positive systems, we come back to the sphere of action marked off for each, and to conflicts resulting from such limitation. The two modes of procedure differ only in the points from which they start. The question itself is the same, and the solution cannot turn out differently in the two cases ...³³⁹

[I]t is the necessary consequence of [the equality in adjudication between local residents and foreign residents], in its full development, not only that in each particular [S]tate the foreigner is not postponed to the native ... but also that, in cases of *conflict of laws*, the same legal relations (cases) have to expect the same decision, whether the judgment be pronounced in this [S]tate or in that.³⁴⁰

This view has not lost relevance with the passage of time, and is reflected in the common (as well as the civil) law. As more recently explained by Stone, after posing the question '[w]hy have conflict rules at all?':³⁴¹ **1.89**

The need in some cases to apply foreign law, or to recognise and enforce foreign judgments, is less immediately obvious [compared to the need for rules concerning jurisdiction]. The grounds for doing so can perhaps be summarised in positive terms by saying that, in modern world conditions, where [S]tates claim equality of status and there is no world-wide imperial power to which all other authorities grant even apparent homage, *conflict rules are the only way in which a minimum of order in international private law relationships can be achieved*, so as to offer some degree of justice, certainty and convenience to the private persons involved, and some prospect of furthering the various policies which underlie ordinary rules of private law (such as the generally admitted purpose of contract law, to add legal support to reasonable expectations of parties to agreements).³⁴²

Conflict of laws rules are practical rules that provide a framework for disputing parties to work within. They represent tools that those parties can use to predict the law that will be applied to their relationship, or the manner in which that law will ultimately be identified. An emphasis on *predictability*³⁴³ underscores an emphasis on the utilization of *rules*.³⁴⁴ Parties in international commercial arbitrations have a 'strong interest' in predictable procedure.³⁴⁵ **1.90**

That securing international legal order forms the purpose of conflict of laws rules is unsurprising. Conflicts rules, by their very nature, demarcate the spheres of operation of competing bodies of law. International dispute resolution 'necessarily involves the interaction of legal systems';³⁴⁶ **1.91**

³³⁹ Savigny (n 15) 6.

³⁴⁰ *ibid*, 27 (emphasis in original).

³⁴¹ Peter Stone, *The Conflict of Laws* (Longman 1995) 4 (hereafter Stone, *Conflicts*).

³⁴² *ibid* (emphasis added).

³⁴³ Eugene Scoles and others, *Conflict of Laws* (4th edn, Thomson West 2004) 108 [2.26].

³⁴⁴ Reese (n 26) 61.

³⁴⁵ Berger, *IEA* (n 101) 750.

³⁴⁶ McClelland and Keyes (n 32) 661.

thus, conflicts rules are ‘inevitable as long as there are differing systems of substantive law’.³⁴⁷ The task performed is one of coordination,³⁴⁸ which ultimately supports transnational contract enforcement.³⁴⁹ As the United States Supreme Court observed, ‘[w]e cannot have trade and commerce in world markets and international waters exclusively on our terms, governed by our laws, and resolved in our courts’.³⁵⁰ Private international law therefore finds its ‘essential cause or justification’ in ‘pure necessity’,³⁵¹ just as the existence of law in general at both the State and international levels rests on ‘the thought of rational man that without a legal system at either level society could not function’.³⁵² This purpose of the conflict of laws is also understandable if conflicts processes are understood as functional alternatives to party choice of law. In international commercial arbitration,³⁵³ and in State court proceedings,³⁵⁴ choice of law has the purpose of promoting predictability. The same can be said for its conflicts sibling.

V. THE BASES OF CONFLICT OF LAWS ANALYSES

- 1.92** Turning now to the bases for conflicts analyses—the theoretical underpinnings around which the conflicts status quo is situated—the resolution of arbitral conflicts is typically rationalized in terms of party expectation or intent. Speaking of expectations may seem tenuous where parties have not made a relevant choice of law.³⁵⁵ However, on a closer inspection, the role of these concepts is unsurprising given that party expectation and intention guide arbitral procedure as a whole. The *objective* nature

³⁴⁷ Matthias Weller, ‘Mandatory Elements of the Choice-of-Law Process in International Arbitration—Some Reflections on Teubnerian and Kelsenian Legal Theory’ in Eckart Gottschalk and others (eds), *Conflict of Laws in a Globalized World* (Cambridge University Press 2007) 243, 253.

³⁴⁸ Kurt Siehr, ‘Coordination of Legal Systems in Private International Law’ in Talia Einhorn and Kurt Siehr (eds), *International Cooperation Through Private International Law—Essays in Memory of Peter E Nygh* (TMC Asser Press 2004) 325, 326.

³⁴⁹ Volkmar Gessner, ‘Towards a Theoretical Framework for Contractual Certainty in Global Trade’ in Volkmar Gessner (ed), *Contractual Certainty in International Trade—Empirical Studies and Theoretical Debates on Institutional Support for Global Economic Exchanges* (Hart Publishing 2009) 3, 4.

³⁵⁰ *M/S Bremen v Zapata Off-Shore Co*, 407 US 1, 9 (1972).

³⁵¹ RH Graveson, ‘Philosophical Aspects of the English Conflict of Laws’ (1962) 78 *Law Quarterly Review* 337, 367.

³⁵² *ibid.* ³⁵³ Lew, Mistelis, and Kröll (n 81) 415 [17-11].

³⁵⁴ Michael Wilderspin, *The European Private International Law of Obligations* (4th edn, Sweet & Maxwell 2015) 134 [6-002].

³⁵⁵ Stuart Dutson, ‘A Dangerous Proposal—The European Commission’s Attempt to Amend the Law Applicable to Contractual Obligations’ [2006] *Journal of Business Law* 608, 614.

of conflicts analyses is actually inherently connected to party expectations given (at least in theory) its reliance on 'hard facts'.³⁵⁶ Conflicts rules applicable in international commercial arbitration are even seen by some authorities as tools through which party expectation or intention can be approximated, for example, with respect to Art 187(1) *Swiss Private International Law Act 1987*.³⁵⁷ On this view, conflicts processes do no violence to the grounding of international commercial arbitration as a whole in party consent.

The role of party expectation and intent in providing the bases for conflicts analyses in international commercial arbitration is well established in the literature.³⁵⁸ Goode, for example, adopts a perspective which ties party expectations to use of the closest connection test³⁵⁹—the very test this book recommends. Though the case for a (modified) Art 4 Rome Convention rule is fully articulated later in this book, it is interesting to note this conceptual link at this preliminary stage. 1.93

The commentary's deference to party expectation and intent is reflected in arbitral case law. In *ICC Case No 5103/1988*, the tribunal noted that its applicable law decision 'coincide[d] with the legal expectations of the parties involved',³⁶⁰ while in *ICC Case No 6401/1991* it was suggested that the law found applicable to validity and performance 'should not come as a surprise to the parties' as it was the same as the law they had chosen to govern contractual interpretation.³⁶¹ To similar effect are *ICC Case No 11926/2003*³⁶² and *ICC Case No 8716/1997*,³⁶³ with the tribunal in *ICC Case No 1176* rationalizing its use of the cumulative approach on the basis of party intent.³⁶⁴ 1.94

References to expectation and intention are also found outside the international commercial arbitration context. The 'expectation of the parties' is 1.95

³⁵⁶ Blessing, 'Regulations' (n 22) 407–08.

³⁵⁷ Burckhardt and Groz (n 145) 168.

³⁵⁸ See, eg, Lew, Mistelis, and Kröll (n 81) 424 [17–38], 425 [17–40]; Natov (n 123) 173 [9.09], 179 [9.33]; Blessing, 'Regulations' (n 22) 416; Blessing, 'Choice of Substantive Law' (n 249) 53; Eric Robine, 'What Companies Expect of International Commercial Arbitration' (1992) 9(2) *Journal of International Arbitration* 31, 36; Klaus Peter Berger, 'The International Arbitrators' Application of Precedents' (1992) 9(4) *Journal of International Arbitration* 5, 22; Trappe (n 75) 99; Ingeborg Schwenzer and Simon Manner, "'The Claim is Time-Barred": The Proper Limitation Regime in International Sales Contracts in International Commercial Arbitration' (2007) 23 *Arbitration International* 293, 299.

³⁵⁹ Roy Goode, 'The Role of the *Lex Loci Arbitri* in International Commercial Arbitration' (2001) 17 *Arbitration International* 19, 31–32.

³⁶⁰ *ICC Case No 5103/1988* (1990) 1(2) *ICC Bull* 25, 25.

³⁶¹ *ICC Case No 6401/1991* (1992) 7(1) *Mealey's B-1*, B-18.

³⁶² *ICC Case No 11926/2003* (Unilex 2003) <<http://www.unilex.info/case.cfm?pid=1&do=cases&id=1405&step=FullText>>.

³⁶³ *ICC Case No 8716/1997* (2000) 11(2) *ICC Bull* 61, 63.

³⁶⁴ *ICC Case No 1176*, cited in Derains, 'Possible Conflict Rules' (n 222) 177.

closely linked to their ‘voluntary submission’ to a local law in Savigny’s classic work.³⁶⁵ Further, as foreshadowed in Section IV of this chapter, *Dicey, Morris and Collins* offers a ‘justification’ for the ‘existence of the conflict of laws’³⁶⁶ framed around party expectation:

The main justification for the conflict of laws is *that it implements the reasonable and legitimate expectations of the parties to a transaction or occurrence*. This can best be seen by considering what would happen if the conflict of laws did not exist.

Theoretically, it would be possible for English courts, while opening their doors to foreigners, to apply English domestic law in all cases. But if they did so, grave injustice would again be inflicted not only on foreigners but also on Englishmen. For instance, if two English people married in France in accordance with the formalities prescribed by French law, but not in accordance with the formalities prescribed by English law, the English court, if it applied English law to the validity of the marriage, would have to treat the parties as unmarried persons and their children as illegitimate.³⁶⁷

- 1.96** Though the example given here is based on family law, it can readily be translated into a commercial context. What if a contractual dispute between Swiss and German parties was being litigated in the United Kingdom, had all its meaningful ties with the Swiss legal system, and was based on a contract valid under Swiss law, but that contract was void under the unconnected laws of England? It would not sensibly conform to party expectation for the English courts to apply their own domestic law and thereby invalidate the parties’ bargain.
- 1.97** The bases of conflicts analyses in international commercial arbitration are thus firmly grounded in party expectation and intention. Just as reasonable expectations form the basis of contract law,³⁶⁸ through the enforcement of contractual terms including choices of law, identifying the governing substantive law through conflict of laws processes is informed by those same considerations.

VI. OUTLINE IN CONTEXT

- 1.98** This chapter has provided an introduction to this book’s analysis. Resolution of the conflicts of laws questions considered by this book does not occur in the abstract, but rather takes place within rich private international law and international commercial arbitration contexts. As context

³⁶⁵ Savigny (n 15) 152. ³⁶⁶ Collins (n 7) 4 [1-005].

³⁶⁷ *ibid.*, 4–5 [1-005]–[1-006] (emphasis added).

³⁶⁸ Stone, *Conflicts* (n 341) 4; Reese (n 26) 58.

'is everything' in law,³⁶⁹ this book draws upon the context identified in this chapter in the analysis which now follows.

Chapter 2 examines the current regulation of conflicts of laws in international commercial arbitration. In Chapter 3, the problematic features of this current regulatory regime are identified. These features derive from the discretion embodied in that regime, and they demonstrate the need for reform. Chapter 4 puts forward the notion of a bright-line test as a solution to the problems identified in Chapter 3. Following this, Chapter 5 identifies the closest connection test as the optimal bright-line test, while Chapter 6 assesses six different variations of that test. The conclusion reached in Chapter 6 is that a (modified) Art 4 Rome Convention rule should be adopted for conflicts of laws in international commercial arbitration. Chapter 7 then comments on possible implementation methodologies, and concludes. **1.99**

³⁶⁹ *R v Secretary of State for the Home Department; ex p Daly* [2001] UKHL 26; [2001] 2 AC 532, [28].